GlobalFoundries (NASDAQ: GFS)

1. Current thesis and valuation

Published November 5, 2026. Financial evidence through November 4, 2026. The November 4 closing price was USD 40.34. The Q4 2027 calculated ceiling is USD 69.0981, using 20 times forward four-quarter non-IFRS operating profit and the target-quarter economic diluted share count.

Analytical Base 68 (41/60); Excel Base 68. Classification: differentiated foundry bottleneck candidate. Framework band: Watchlist. The forecast includes a large investment phase and material uncertainty around qualification, customer funding and government arrangements.

GlobalFoundries supplies differentiated semiconductor manufacturing and technology services. The current thesis combines booked optical demand, a richer manufacturing mix, and selected manufacturing partnerships with a substantial capital program. The model keeps customer payments, government support and equity issuance visible alongside the revenue opportunity.

2. Current snapshot

Measure	Current value
Closing price, November 4	USD 40.34
Active horizon	Q4 2027
Calculated ceiling	USD 69.098104
Four-quarter non-IFRS OP	2,072.943
Economic diluted shares	600.000
Multiple	20x
Analytical / Excel Base	68 / 68
Current portfolio position	No holding is established in the source snapshot.

3. Supercycle and business position

The strongest near-term evidence sits in communications and data-center demand. Management described eight consecutive quarters of growth in that market, booked 2027 optical capacity and increasing commitments into 2028. Smartphones, automotive and industrial products continue to influence the wider foundry cycle. A faster optical ramp must absorb its own equipment, qualification and support costs.

4. Technology and platform boundaries

Silicon photonics integrates optical functions on a silicon platform. SiGe supports electrical and radio-frequency functions. The SMART Photonics relationship adds an externally supplied indium-phosphide laser and amplifier integration route. These are distinct technological contributions within the same customer system. The model assigns revenue to GFS manufacturing and services that GFS can invoice.

The retained technical materials describe Gen 2 at 200 gigabits per lane and Gen 3 early access at 400 gigabits per lane. The external InP integration availability target is the second half of 2027. Device demonstrations and platform availability require subsequent customer qualification, packaging and production validation.

5. SCALE, NPO and CPO adoption

SCALE connects the silicon-photonics platform to packaging and optical connectivity. Near-package optics and later co-packaged optics represent possible adoption routes. The revenue allocation treats migration between these routes as a change within the optical opportunity. Shared customers, devices and packages receive one demand allocation.

6. Retained optical engineering evidence

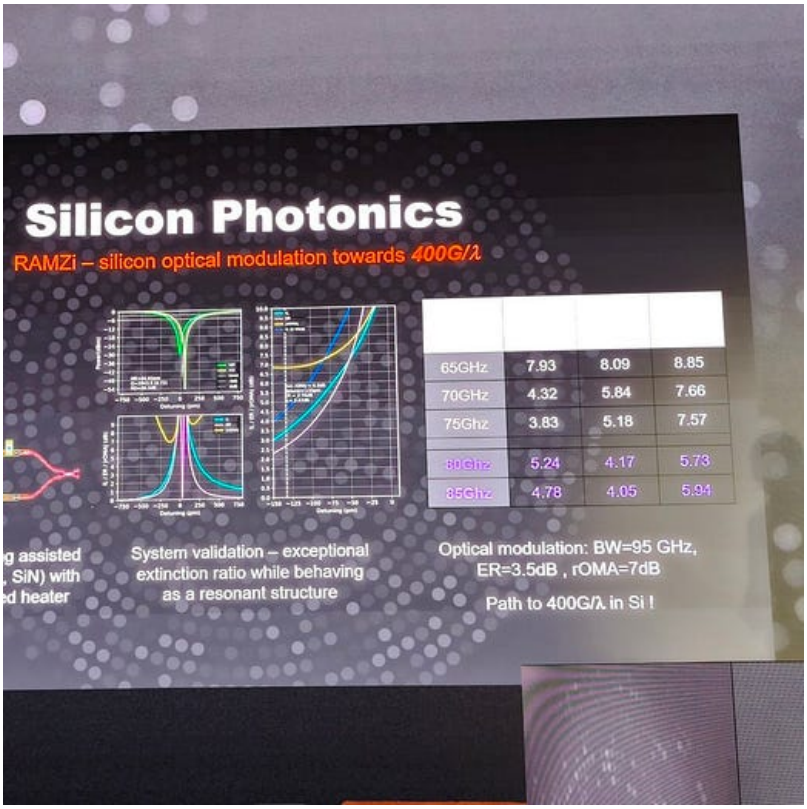


Figure 1. Original dated engineering exhibit from the February 12, 2026 market memo retained with its source framing. It illustrates packaging and coupling relationships; its assumptions do not set the current financial model.

7. Optical packaging and connector evidence

The retained connector and packaging figures illustrate alignment, coupling and assembly relationships. They support the physical explanation of the product stack. Their geometry does not establish production yield, customer volume or a separate financial contribution.

8. MPC connector architecture

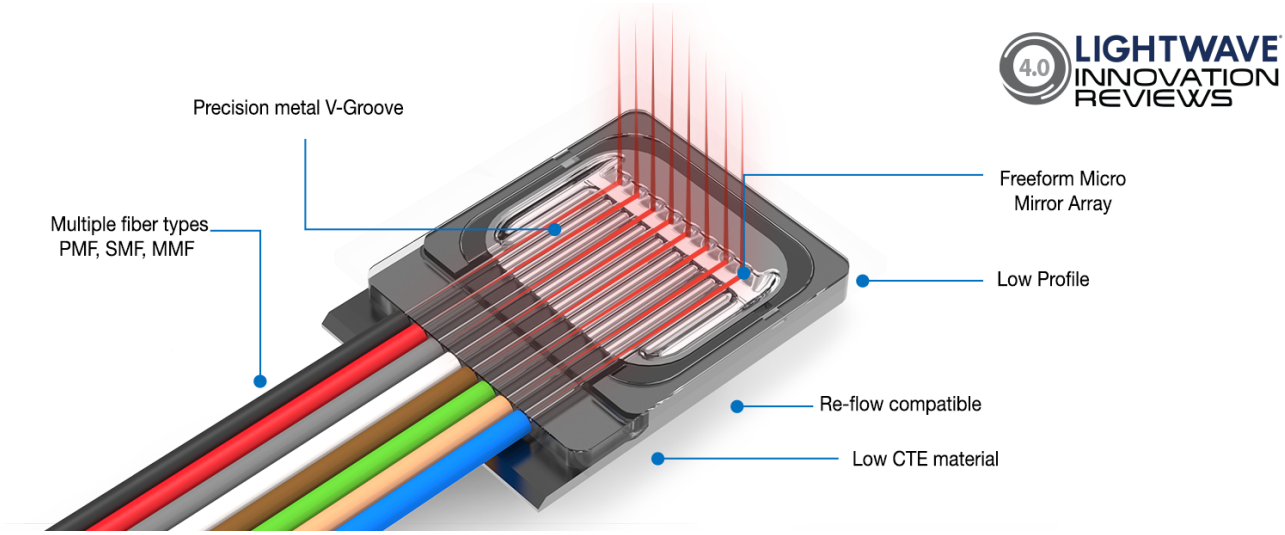


Figure 2. Original SENKO MPC overview. Product geometry explains optical alignment and connectivity. It supplies no GFS customer-volume or selling-price measurement.

9. SEAT assembly and alignment

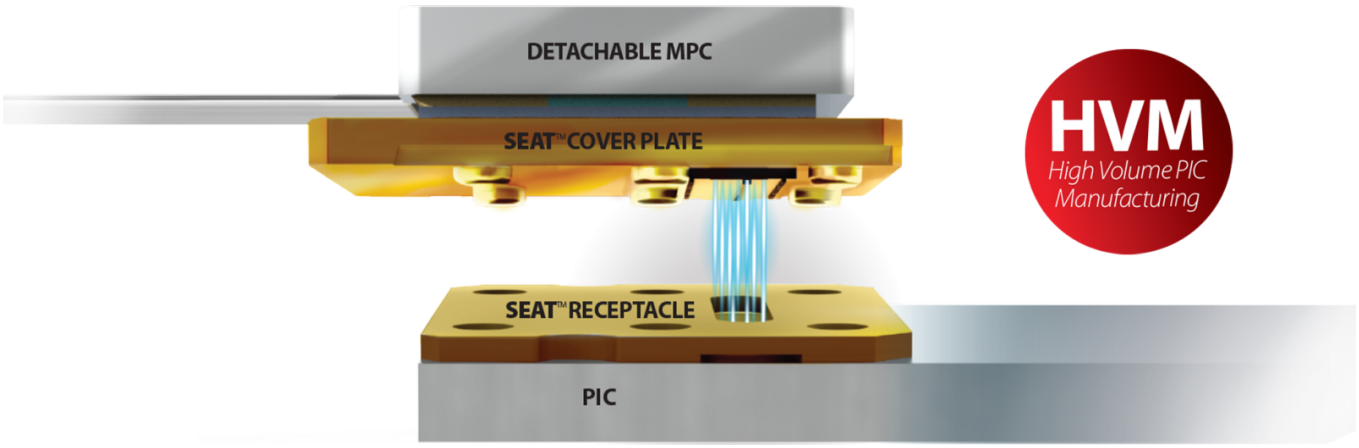


Figure 3. Original SENKO SEAT overview. Assembly configuration informs the manufacturing discussion; production yield and customer qualification require separate evidence.

10. Three-phase market expansion

The first phase is the existing differentiated manufacturing base. The second is expansion in photonics, SiGe, power and custom silicon. The longer-dated phase includes interposers and services associated with government-funded manufacturing. Each phase is translated into an invoice, a delivery date, a cost and an ownership boundary before entering the forecast.

11. Invoice boundaries across the adoption path

Phase	Potential invoice	Main gating evidence
Current differentiated manufacturing	Wafer output plus distinct engineering/services	Customer production and shipments
Optical / SiGe expansion	GFS wafer and service invoices inside CID	Capacity, qualification and accepted deliveries
Interposer expansion	Net retained share of eligible CID cohort	H1 2028 ramp and contract conversion
Japan services	Service fee plus explicitly modeled economic allocation	Definitive structure, timing and collection

12. Q3 actual earnings and source basis

Q3 2026 revenue was $1.899 billion. The four manufacturing end markets were smart mobile devices, communications infrastructure and data centers, home and industrial IoT, and automotive. Technology Services is a separate fifth revenue bucket. Manufacturing revenue totaled $1.679 billion; Technology Services contributed $220 million. Shipments were 647 thousand 300mm-equivalent wafers.

Reported operating profit was $230 million and company non-IFRS operating profit was $340 million. The $441 million noncash government-share charge affected other expense. It is isolated from recurring operating performance and from cash proceeds, which were zero for that share issue.

13. Q3 2026 actual earnings

USD millions except EPS	IFRS	Company non-IFRS
Revenue	1,899.000	1,899.000
Gross profit	571.000	597.000
Operating expenses	341.000	257.000
Operating profit	230.000	340.000
Pre-tax income	-200.000	343.000
Tax expense	70.000	45.000
Net income (IFRS consolidated / non-IFRS per release)	-270.000	298.000
EPS	-0.490	0.530

14. Q3 revenue classification

Source: Q3 issuer financial statements, Note on revenue. The four manufacturing markets sum to $1,679 million.

Revenue bucket	USD millions
Smart mobile devices	611.000
Automotive	368.000
Home and industrial IoT	384.000
Communications infrastructure and data centers	316.000
Technology Services	220.000
Total	1,899.000

15. Q4 guidance and exact calibration

The Q4 revenue midpoint is $2.0 billion, with non-IFRS gross margin of 31.5% and operating expenses of $235 million. These imply $395 million of non-IFRS operating profit. Management guided to 575 million diluted shares and non-IFRS EPS of $0.59, with the published ranges retained in the accompanying table.

The Q4 guidance reconciliation removes stock-based compensation from IFRS. Ordinary amortization remains in the forward cost base. The model preserves the fuller Q3 actual adjustment table separately, so the two periods retain their stated accounting definitions.

16. Q4 source guidance and selected forecast

USD millions except EPS, margins and shares in millions. The source IFRS midpoint contains rounding; the selected non-IFRS OP less SBC 68 gives IFRS OP327.

Measure	Issuer midpoint / range	Selected model
Revenue	2,000; range 1,975-2,025	2,000.000
Non-IFRS gross margin	31.5%; range 30.5-32.5%	31.5%
Non-IFRS operating expenses	235; range 225-245	235.000
Non-IFRS operating profit	395 midpoint implication	395.000
Non-IFRS EPS	0.59; range 0.54-0.64	0.582
Diluted shares	575	575.000
IFRS operating profit	328 midpoint implication	327.000

17. SMD manufacturing

Smart mobile devices remain the largest reported manufacturing market. The forecast makes seasonal output, effective selling price and the cost of that output explicit. A recovery in units does not automatically reproduce the optical margin profile.

18. SMD manufacturing revenue

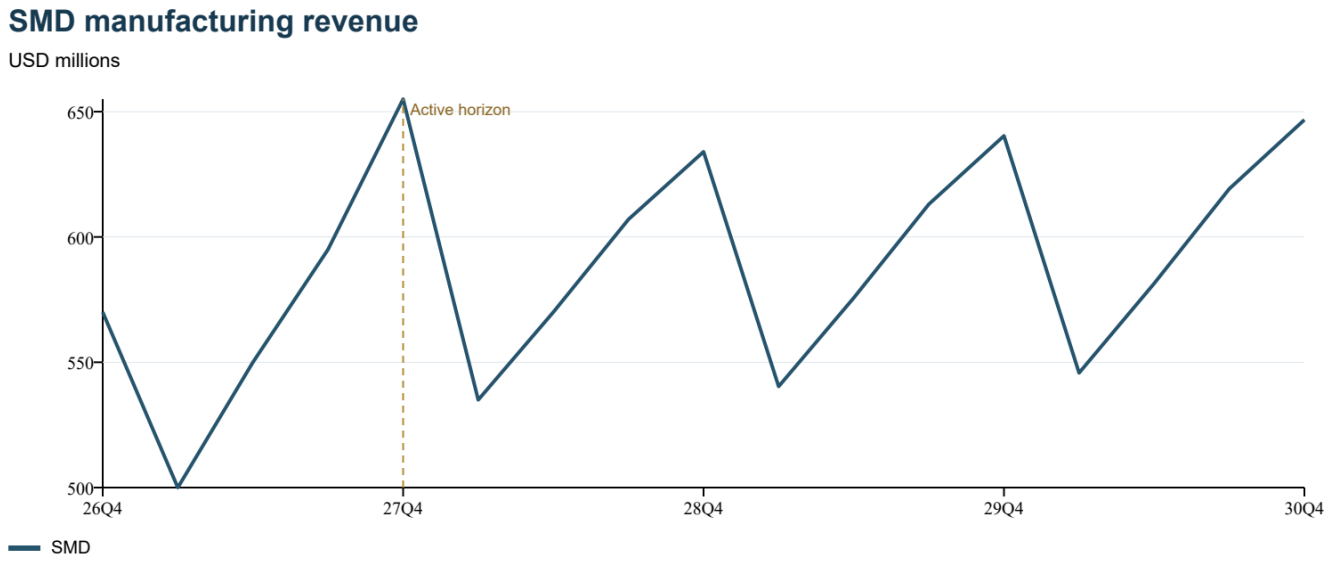


Figure 4. SMD manufacturing revenue. Exact values are in the table below. USD millions.

Quarter	SMD
2026Q4	570.000
2027Q1	500.000
2027Q2	550.000
2027Q3	595.000
2027Q4	655.000
2028Q1	535.000
2028Q2	570.000
2028Q3	607.000
2028Q4	634.000
2029Q1	540.350
2029Q2	575.700
2029Q3	613.070
2029Q4	640.340
2030Q1	545.754
2030Q2	581.457
2030Q3	619.201
2030Q4	646.743

19. Automotive manufacturing

Automotive revenue benefits from long qualification cycles and increasing semiconductor content. The model includes physical output, effective price, variable manufacturing cost and allocated capacity cost. The allocated custom-design cohort is tracked within automotive and industrial demand.

20. Automotive manufacturing revenue

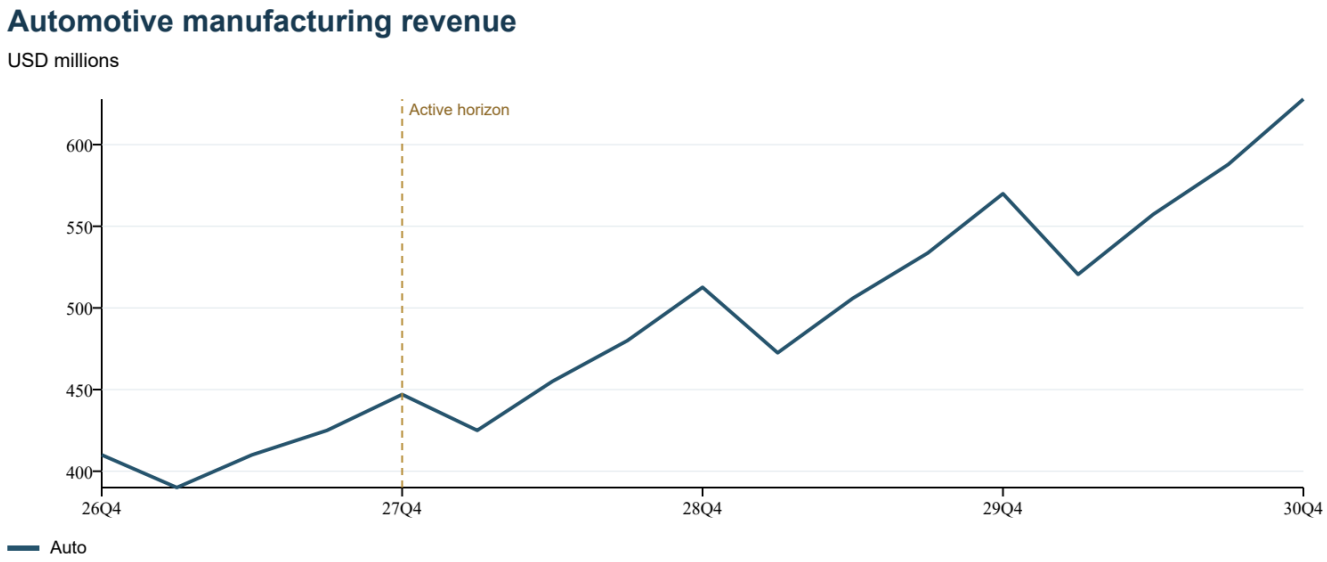


Figure 5. Automotive manufacturing revenue. Exact values are in the table below. USD millions.

Quarter	Auto
2026Q4	410.000
2027Q1	390.000
2027Q2	410.000
2027Q3	425.000
2027Q4	447.000
2028Q1	425.000
2028Q2	455.000
2028Q3	480.000
2028Q4	512.640
2029Q1	472.515
2029Q2	505.869
2029Q3	533.664
2029Q4	569.953
2030Q1	520.523
2030Q2	557.265
2030Q3	587.884
2030Q4	627.860

21. Home and industrial IoT

Home and industrial IoT includes a broad product cycle. The model uses its own output and price path and charges shared manufacturing and engineering costs. The forecast keeps the custom-design contribution within this market allocation.

22. Home and industrial IoT revenue

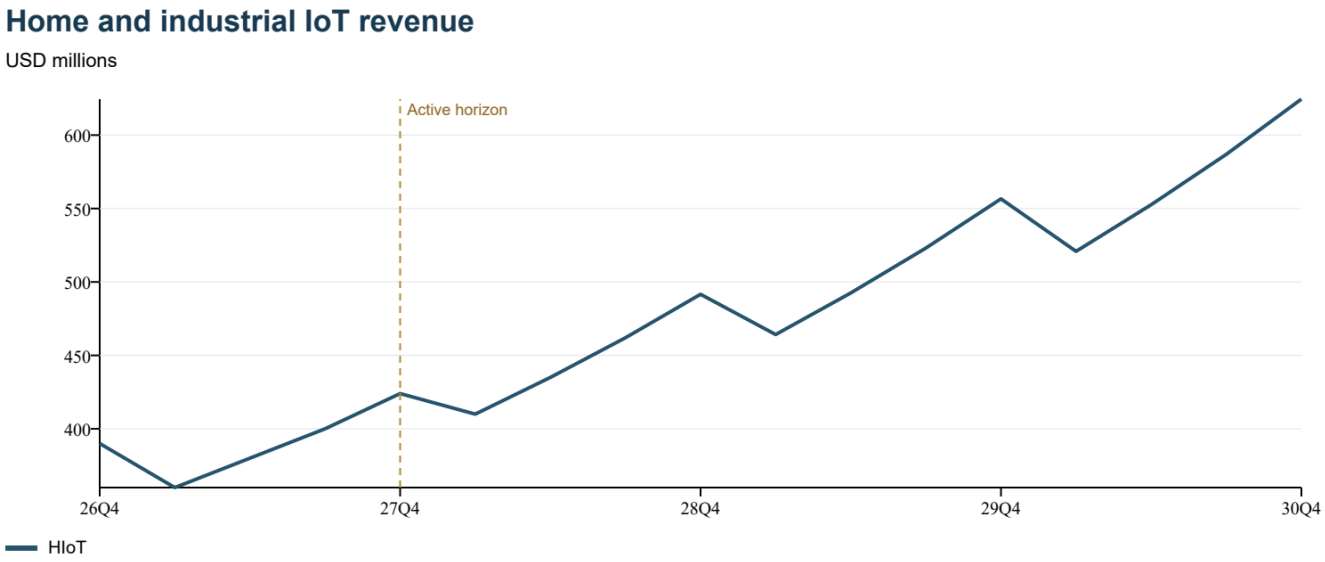


Figure 6. Home and industrial IoT revenue. Exact values are in the table below. USD millions.

Quarter	HIoT
2026Q4	390.000
2027Q1	360.000
2027Q2	380.000
2027Q3	400.000
2027Q4	424.000
2028Q1	410.000
2028Q2	435.000
2028Q3	462.000
2028Q4	491.600
2029Q1	464.202
2029Q2	492.507
2029Q3	523.076
2029Q4	556.590
2030Q1	520.835
2030Q2	552.593
2030Q3	586.892
2030Q4	624.493

23. CID and silicon photonics

Communications infrastructure and data centers contains silicon photonics, SiGe, other communications manufacturing and the prospective interposer program. The internal split is estimated because GFS does not disclose separate quarterly revenue for each technology.

Management moved the $1 billion annualized silicon-photonics revenue milestone to the end of 2027. Planned silicon-photonics capacity is approximately three times the starting level over the coming year. The

model distinguishes that announced expansion from estimated usable output, qualification and physical wafer-equivalent diagnostics.

24. CID and silicon photonics revenue

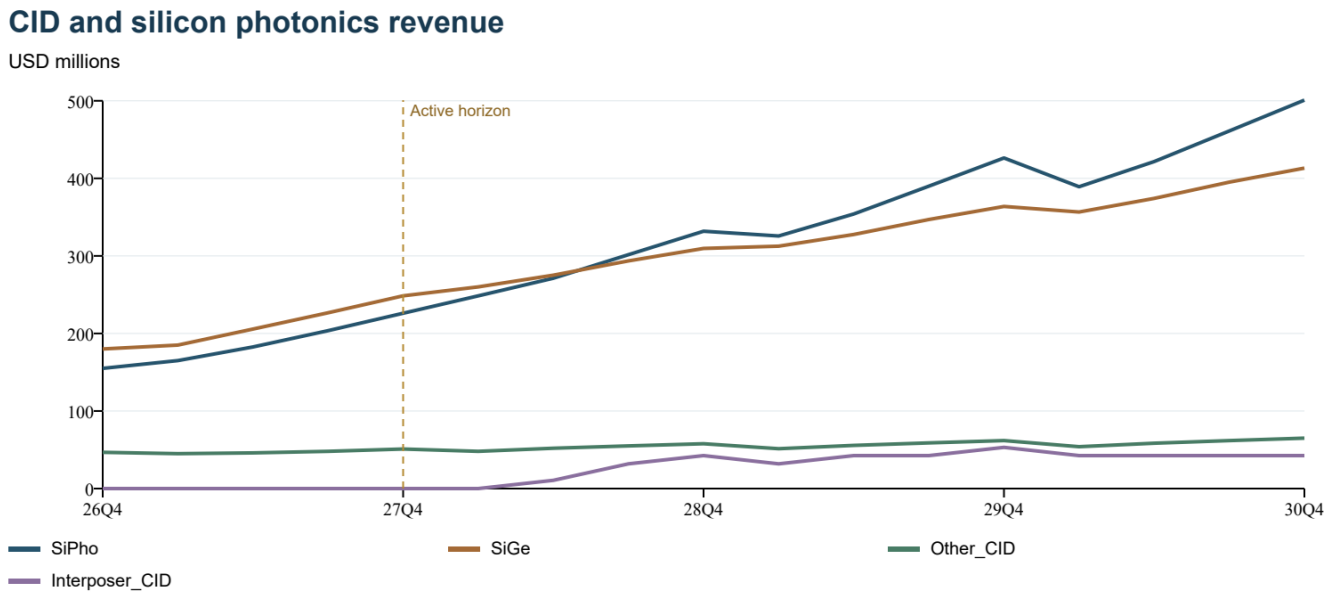


Figure 7. CID and silicon photonics revenue. Exact values are in the table below. USD millions.

Quarter	SiPho	SiGe	Other_CID	Interposer_CID
2026Q4	155.000	180.000	46.720	0.000
2027Q1	165.000	185.000	45.000	0.000
2027Q2	182.586	205.650	46.000	0.000
2027Q3	203.586	226.650	48.000	0.000
2027Q4	226.069	248.520	51.000	0.000
2028Q1	248.482	260.056	48.000	0.000
2028Q2	271.217	275.160	52.000	10.625
2028Q3	301.584	293.563	55.000	31.875
2028Q4	331.823	309.636	57.800	42.500
2029Q1	325.679	312.553	51.389	31.875
2029Q2	354.061	327.621	55.671	42.500
2029Q3	389.933	346.934	58.883	42.500
2029Q4	426.290	363.778	61.881	53.125
2030Q1	389.192	356.610	53.979	42.500
2030Q2	421.648	374.156	58.477	42.500
2030Q3	461.118	395.121	61.851	42.500
2030Q4	500.877	413.195	64.999	42.500

25. Silicon-photonics investment evidence

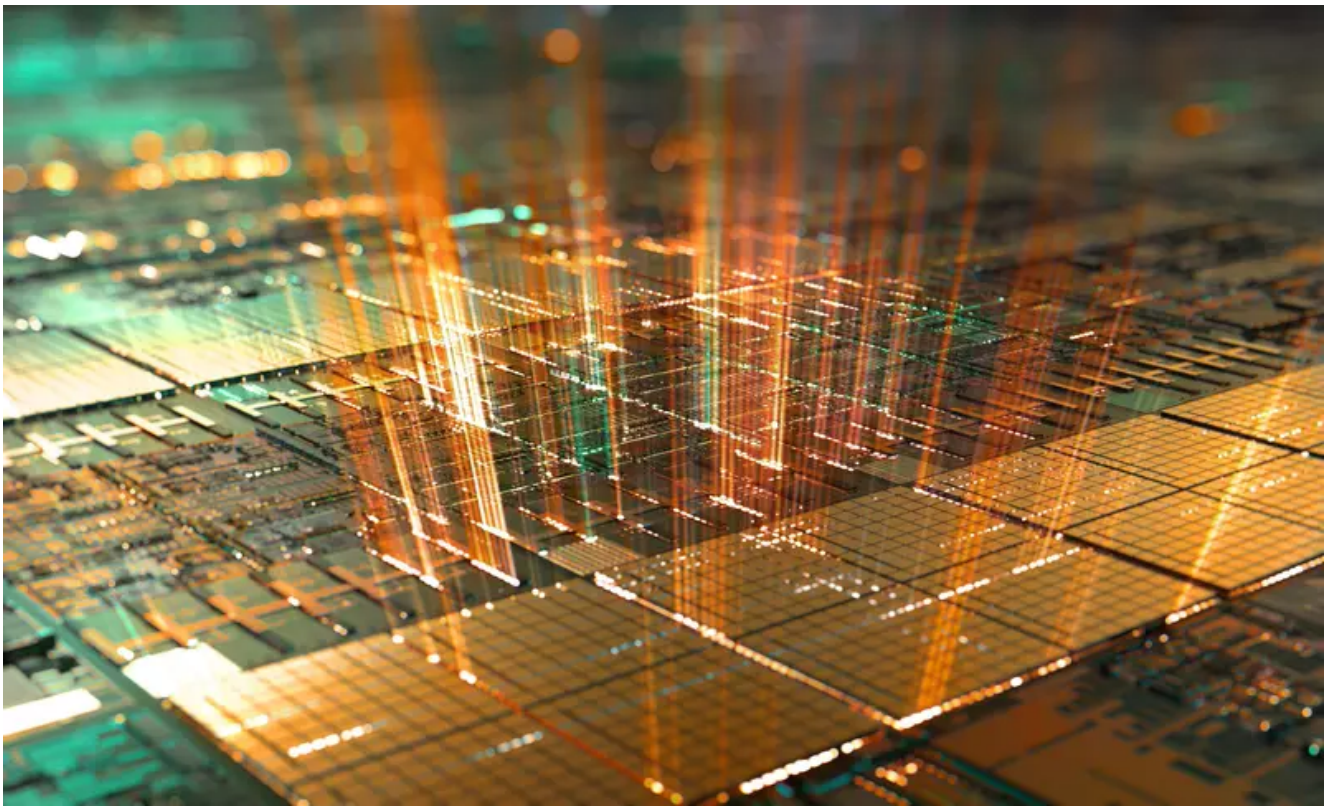


Figure 8. Original GlobalFoundries source image accompanying the U.S. silicon-photonics investment announcement. Award status, qualifying investment and eventual cash receipts are separately modeled.

26. Technology services

Technology services is a separate reported market. It includes intellectual property, software, masks, engineering and qualification activity. Japan-related fees are assigned within this services perimeter. Manufacturing and service revenue therefore remain disjoint.

27. Technology services revenue

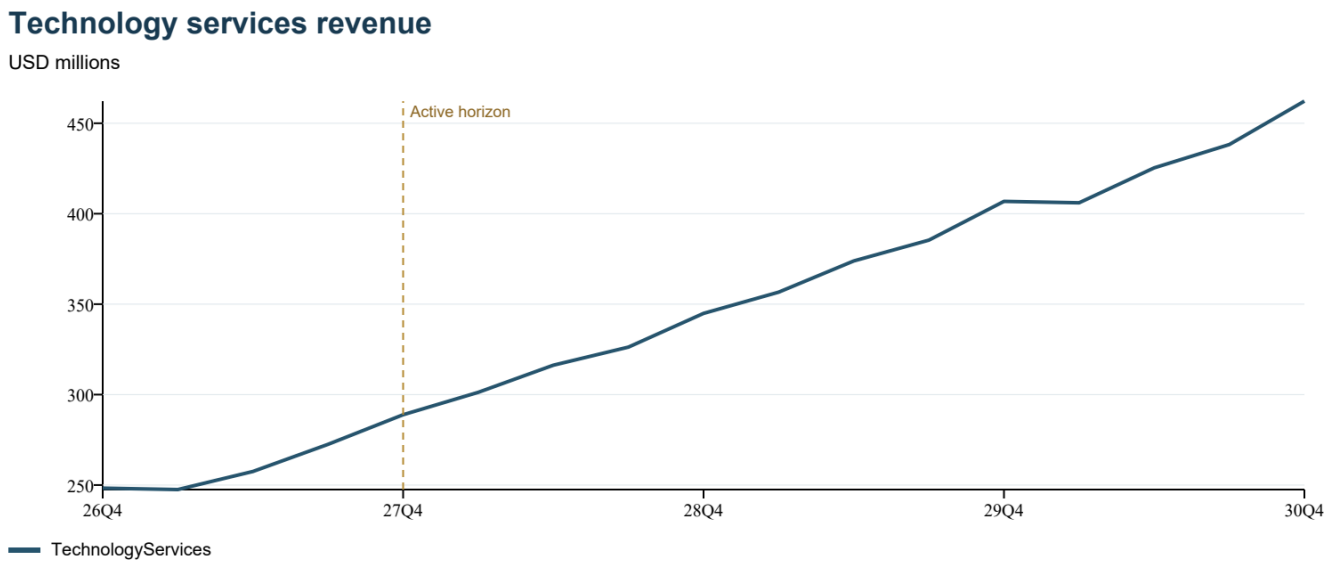


Figure 9. Technology services revenue. Exact values are in the table below. USD millions.

Quarter	TechnologyServices
2026Q4	248.280
2027Q1	247.500
2027Q2	257.500
2027Q3	272.500
2027Q4	288.870
2028Q1	301.250
2028Q2	316.250
2028Q3	326.250
2028Q4	344.890
2029Q1	356.625
2029Q2	373.875
2029Q3	385.375
2029Q4	406.811
2030Q1	406.020
2030Q2	425.340
2030Q3	438.220
2030Q4	462.228

28. TSMC interposer manufacturing

The TSMC interposer agreement is described as a $2 billion opportunity over five years, with production beginning in the first half of 2028. Management expects gross margin above its long-term target. The related capacity investment sits within the 2027 capital program.

Annual minimum purchases, detailed cancellation provisions and the amount of customer co-investment remain undisclosed in the retained sources. The forecast assigns conversion probability, timing and an explicit overlap allowance. A failed branch removes the designated customer-funding receipt and its future release.

29. Interposer conversion law

Input	Selected assumption
Conditional realization	90% on-time optical; 80% delayed; 60% slow
Unconditional probability	85% from the joint state tree
Net retained cohort	50% of the conditional full revenue schedule
Initial production	H1 2028
Funding allocation	1% of 2027 gross PPE cash spend inside total customer advances
Failure treatment	Remove the allocated receipt and its future liability release
Contract gap	Minimum take, detailed cancellation and exact co-investment undisclosed

30. Custom-design wins

Management described approximately $1 billion of lifetime revenue associated with new custom-design wins. Lifetime value is allocated across service work and subsequent manufacturing over several years. Qualification, delivery and contract conversion determine realization. The model reserves the expected cohort inside its market totals and replaces that reservation with branch outcomes.

31. Custom-design conditional lifetime allocation

Conditional success probability is 70%. Manufacturing is allocated 60% to automotive and 40% to home/industrial IoT. Services carry 40% cash delivery cost and committed support equal to 20% of conditional service revenue. The cash R&D base excludes this separately charged new-program support.

Year	Manufacturing revenue	Service revenue
2027	0.000	30.000
2028	80.000	50.000
2029	150.000	50.000
2030	200.000	20.000
2031	200.000	0.000
2032	120.000	0.000
2033	60.000	0.000
2034	40.000	0.000

32. Japan phase-one services

The proposed Japanese manufacturing structure places fabrication assets and their capital funding in a government-owned special-purpose vehicle. GFS would contribute technology, construction and operating services, with fees and an economic sharing arrangement. The model keeps SPV-owned wafer production outside GFS manufacturing revenue.

The October 14 discussion included approximately $50 million of 2027 fee revenue and illustrative earnings effects. The source does not fully reconcile the larger operating benefit to reported fee revenue. The model uses the lower overlapping operating-profit and EPS indications and displays the residual as an estimated unallocated operating benefit. Collection timing and cash realization are separate assumptions.

The plotted values are probability-weighted. The unallocated benefit follows the selected source-constrained economic proxy; its accounting classification is an explicit assumption.

33. Japan operating and collection components

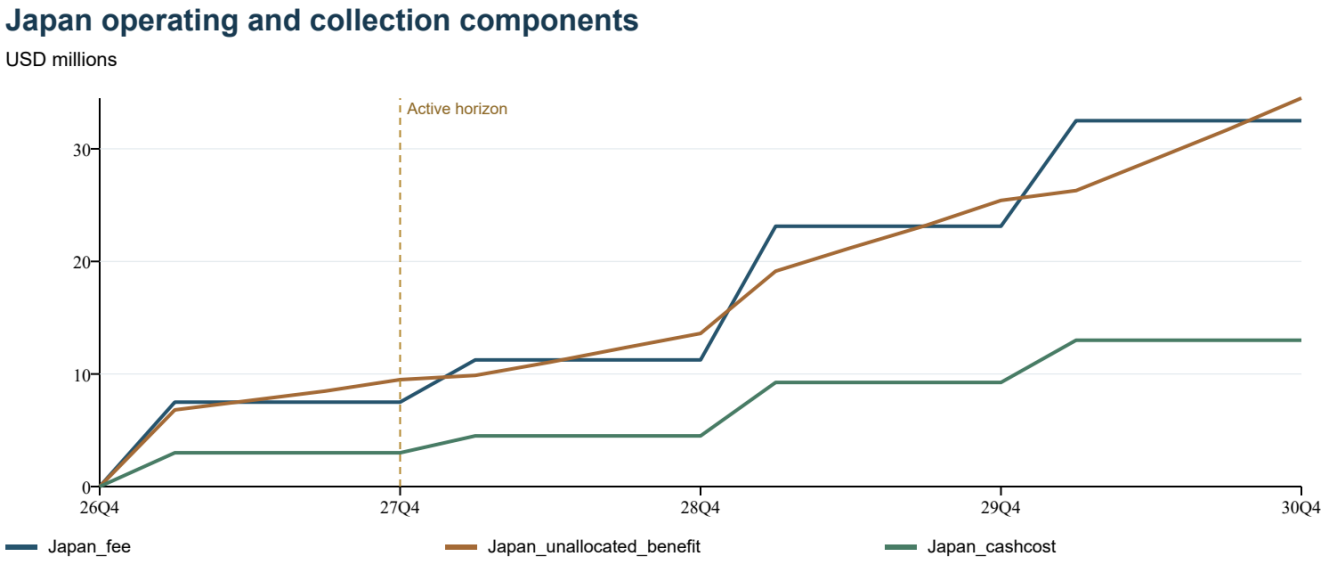


Figure 10. Japan operating and collection components. Exact values are in the table below. USD millions.

Quarter	Fees	Unallocated benefit	Service cash cost
2026Q4	0.000	0.000	0.000
2027Q1	7.500	6.810	3.000
2027Q2	7.500	7.645	3.000
2027Q3	7.500	8.479	3.000
2027Q4	7.500	9.498	3.000
2028Q1	11.250	9.874	4.500
2028Q2	11.250	11.055	4.500
2028Q3	11.250	12.345	4.500
2028Q4	11.250	13.602	4.500
2029Q1	23.125	19.135	9.250
2029Q2	23.125	21.206	9.250
2029Q3	23.125	23.194	9.250
2029Q4	23.125	25.418	9.250
2030Q1	32.500	26.294	13.000
2030Q2	32.500	28.964	13.000
2030Q3	32.500	31.654	13.000
2030Q4	32.500	34.506	13.000

34. Japan phase-two option

The second Japanese phase depends on an additional decision by the end of 2028. The model assigns separate probabilities to a 2029 fee start, a 2030 fee start and no additional fees during the forecast. Fabrication output remains outside GFS revenue. Later construction and qualification dates constrain the option.

35. Joint Japan outcomes

Outcome	Weight	Phase-one fees	Phase-two first fees
phase 1 on phase 2 2029	0.350	Yes	2029Q1
phase 1 on phase 2 2030	0.150	Yes	2030Q1
phase 1 on no phase 2	0.100	Yes	None through 2030
no fees through 2030	0.400	No	None through 2030

36. Quarterly revenue and physical output

The quarterly table reconciles product-level manufacturing and services to the five issuer market totals. Physical wafer-equivalent quantities are modeling diagnostics derived from estimated product prices and mix. They do not represent disclosed product-specific shipment or capacity measurements.

37. Consolidated quarterly revenue

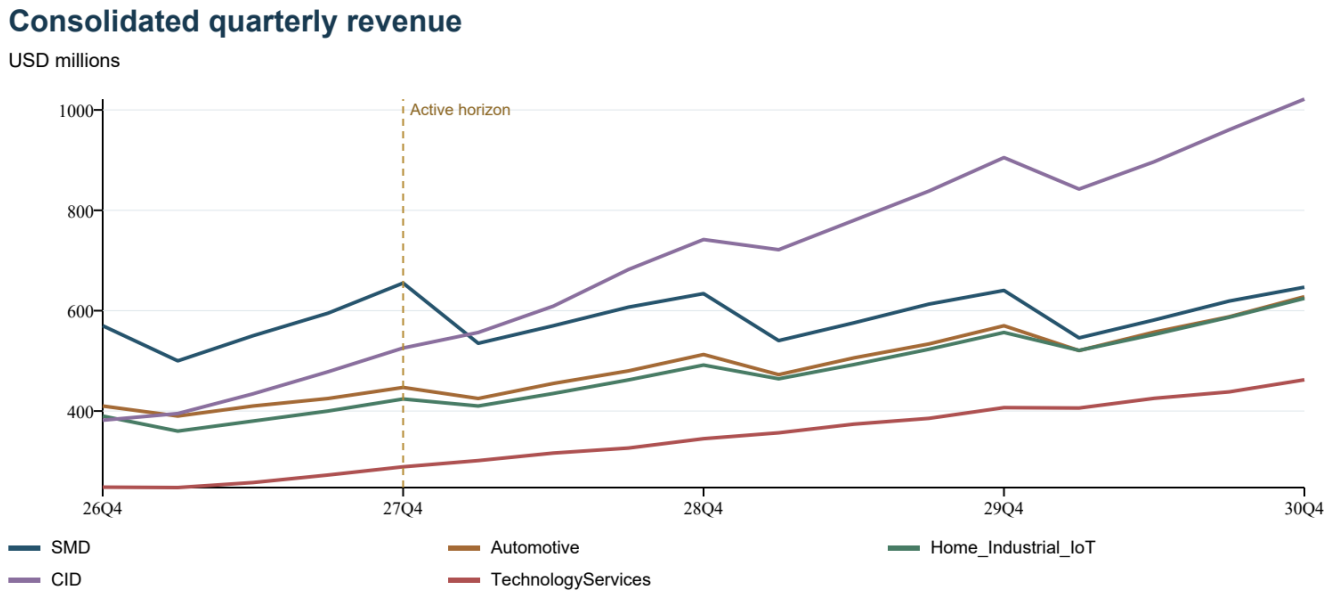


Figure 11. Consolidated quarterly revenue. Exact values are in the table below. USD millions.

Quarter	SMD	Automotive	Home_Industrial_IoT	CID	TechnologyServices
2026Q4	570.000	410.000	390.000	381.720	248.280
2027Q1	500.000	390.000	360.000	395.000	247.500
2027Q2	550.000	410.000	380.000	434.236	257.500
2027Q3	595.000	425.000	400.000	478.236	272.500
2027Q4	655.000	447.000	424.000	525.589	288.870
2028Q1	535.000	425.000	410.000	556.538	301.250
2028Q2	570.000	455.000	435.000	609.002	316.250
2028Q3	607.000	480.000	462.000	682.022	326.250
2028Q4	634.000	512.640	491.600	741.759	344.890
2029Q1	540.350	472.515	464.202	721.495	356.625
2029Q2	575.700	505.869	492.507	779.853	373.875
2029Q3	613.070	533.664	523.076	838.250	385.375
2029Q4	640.340	569.953	556.590	905.074	406.811
2030Q1	545.754	520.523	520.835	842.280	406.020
2030Q2	581.457	557.265	552.593	896.781	425.340
2030Q3	619.201	587.884	586.892	960.589	438.220
2030Q4	646.743	627.860	624.493	1,021.571	462.228

38. Manufacturing output diagnostics

Thousands of modeled 300mm-equivalent units. Assumed effective prices translate revenue into these physical diagnostics. Product-specific actual wafer volumes and qualified capacity are undisclosed.

Quarter	SMD	Auto	HIoT	SiPho	SiGe	Other CID	Interposer
2026Q4	292.832	126.380	156.802	27.564	34.677	15.430	0.000
2027Q1	252.576	117.069	140.953	27.516	32.815	14.613	0.000
2027Q2	277.834	123.073	148.784	30.449	36.478	14.938	0.000
2027Q3	300.566	127.575	156.614	33.951	40.203	15.588	0.000
2027Q4	330.875	134.179	166.011	37.700	44.082	16.562	0.000
2028Q1	264.958	125.074	157.382	40.231	44.785	15.282	0.000
2028Q2	282.291	133.903	166.978	43.912	47.386	16.555	3.542
2028Q3	300.615	141.260	177.343	48.829	50.555	17.511	10.625
2028Q4	313.987	150.866	188.705	53.725	53.323	18.402	14.167
2029Q1	267.607	136.331	174.694	51.696	52.770	16.199	10.625
2029Q2	285.114	145.954	185.346	56.201	55.314	17.549	14.167
2029Q3	303.622	153.973	196.850	61.895	58.574	18.561	14.167
2029Q4	317.127	164.443	209.462	67.666	61.418	19.506	17.708
2030Q1	270.283	147.237	192.163	61.166	59.612	16.847	14.167
2030Q2	287.965	157.630	203.881	66.267	62.545	18.251	14.167
2030Q3	306.658	166.291	216.535	72.470	66.049	19.304	14.167
2030Q4	320.298	177.599	230.409	78.719	69.071	20.286	14.167

39. Manufacturing cash costs and capacity

Variable cash manufacturing cost follows physical output. A price-only sensitivity holds the physical dollar cost of production fixed. Legacy fixed cash cost is inflated explicitly, while new-capacity fixed cost follows the same commissioned grant-adjusted capital basis used by the asset schedule.

Startup spending follows a selected quarterly cash-cost schedule. Application support increases with optical revenue above the Q4 starting level. Both costs enter once.

The selected cost and depreciation path produces a 32.4201% gross margin at the end of 2027 and 34.8572% at the end of 2028. Management's corresponding objectives are 35% and 40%. The table retains this forecast shortfall.

40. Consolidated cash COGS and gross margin

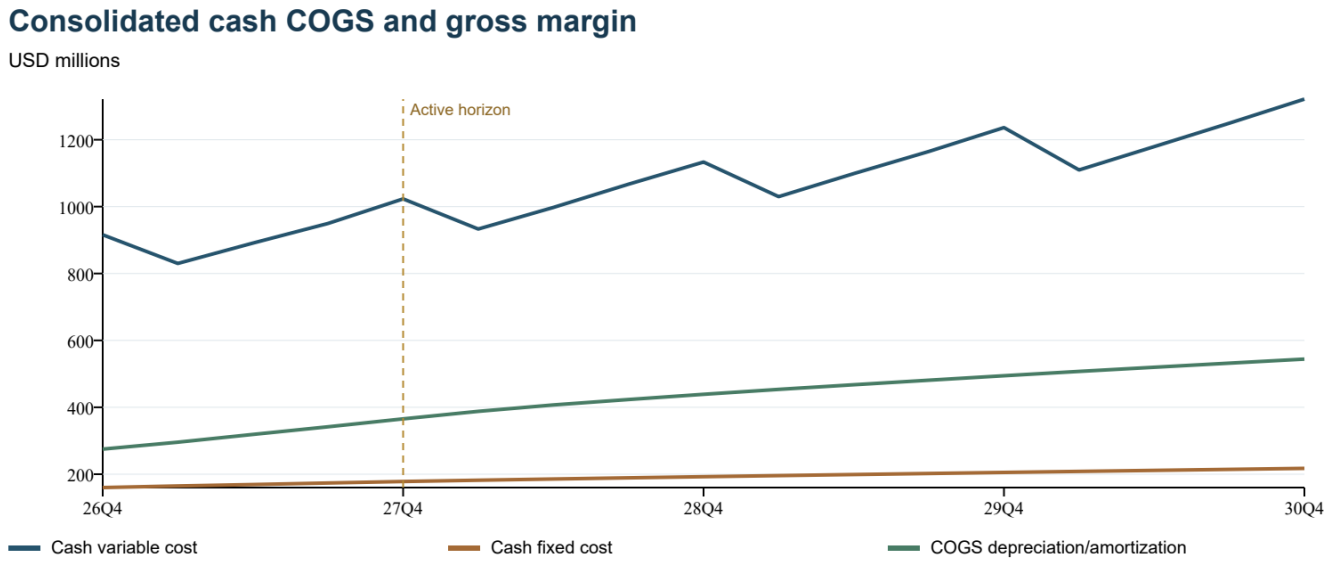


Figure 12. Consolidated cash COGS and gross margin. Exact values are in the table below. USD millions.

Quarter	Variable cash	Fixed cash	Startup cash	Japan services	COGS D&A	Gross margin %
2026Q4	915.780	160.000	19.220	0.000	275.000	31.500
2027Q1	830.074	164.779	20.000	3.000	295.637	30.595
2027Q2	890.980	169.045	20.000	3.000	318.873	31.000
2027Q3	949.636	173.651	12.000	3.000	341.698	31.821
2027Q4	1,023.109	178.165	12.000	3.000	365.406	32.420
2028Q1	933.008	181.969	6.000	4.500	387.867	32.070
2028Q2	997.502	185.576	6.000	4.500	407.011	32.896
2028Q3	1,066.948	189.047	6.000	4.500	423.234	33.925
2028Q4	1,133.274	192.483	6.000	4.500	438.811	34.857
2029Q1	1,029.833	195.728	5.000	9.250	453.547	33.729
2029Q2	1,098.716	198.929	5.000	9.250	467.404	34.772
2029Q3	1,164.912	202.097	5.000	9.250	480.956	35.640
2029Q4	1,236.270	205.262	5.000	9.250	494.350	36.659
2030Q1	1,109.615	208.312	4.000	13.000	507.290	35.028
2030Q2	1,179.369	211.339	4.000	13.000	519.705	36.039
2030Q3	1,249.415	214.348	4.000	13.000	531.943	36.961
2030Q4	1,321.391	217.358	4.000	13.000	544.092	37.928

41. Source margin goals and selected results

The selected capacity, fixed cost and depreciation schedule creates the displayed shortfall. These forecasts retain the cost implications of the capital program.

Period	Management goal %	Model %	Difference, pp	GP gap at model revenue
2027Q4	35.000	32.420	2.580	60.382
2028Q4	40.000	34.857	5.143	140.135

42. Finite capital assets and depreciation

Capital grants reduce the depreciable asset basis when recognized. Customer advances remain liabilities until delivery and leave the asset basis unchanged. Opening construction in progress transfers into service once; later additions follow the selected commissioning schedule.

The model uses finite equipment, building, software and acquired-intangible pools. Depreciation and amortization stop at the remaining depreciable balance. The selected asset lives and commissioning dates are estimates within the source accounting ranges.

43. Capital assets and finite depreciation

Quarter	PPE additions	Closing PPE	Closing CIP	Intangibles	ROU assets	Total D&A
2026Q4	351.206	7,076.206	358.641	1,283.414	585.000	328.000
2027Q1	819.956	7,612.147	163.991	1,286.399	569.000	351.694
2027Q2	890.197	8,193.977	178.039	1,291.396	553.000	378.717
2027Q3	983.947	8,845.880	196.789	1,299.575	537.000	405.462
2027Q4	928.039	9,417.277	185.608	1,300.852	521.000	433.235
2028Q1	703.039	9,742.138	140.608	1,280.942	505.000	460.958
2028Q2	691.858	10,037.742	138.372	1,254.508	489.000	484.811
2028Q3	646.858	10,271.557	129.372	1,222.824	473.000	503.851
2028Q4	644.622	10,487.019	128.924	1,188.823	457.000	522.136
2029Q1	579.372	10,621.992	115.874	1,148.409	441.000	539.437
2029Q2	578.924	10,742.195	115.785	1,106.013	425.000	555.713
2029Q3	565.874	10,835.340	113.175	1,060.835	409.000	571.632
2029Q4	565.785	10,914.554	113.157	1,013.760	393.000	587.365
2030Q1	525.675	10,940.286	105.135	962.179	377.000	602.569
2030Q2	525.657	10,953.177	105.131	908.831	361.000	617.157
2030Q3	517.635	10,945.406	103.527	853.206	345.000	631.539
2030Q4	517.631	10,925.083	103.526	795.854	329.000	645.816

44. Selected asset lives and commissioning

Item	Assumption
Opening net CIP	721; 60% enters use Q4 2026, 40% Q1 2027
New PPE availability	80% current quarter, 20% next quarter
New equipment / building lives	8 / 20 years; half first quarter
New asset split	85% equipment / 15% building
Legacy depreciation	Calibrated after new assets, 4% annual decline, capped by remaining balance
New software/IP	Five years
Estimated IPR&D	135 starts amortizing Q1 2028 over five years
Opening capital / operating grant receivables	373.1 / 159.9; estimated 70/30 split

45. Operating expenses and support

Research and development and selling, general and administrative costs start from the Q4 guidance reconciliation. Cash growth, program support, depreciation, amortization and share-based compensation remain separate. A services opportunity carries its own delivery and engineering requirements.

46. Operating expense bridge

Quarter	Total cash R&D	Cash SG&A	Optical support included	Custom support included	Opex D&A	SBC
2026Q4	120.000	62.000	0.000	0.000	53.000	68.000
2027Q1	123.375	62.620	0.075	1.500	56.057	68.000
2027Q2	125.393	63.246	0.266	1.500	59.845	68.000
2027Q3	127.458	63.879	0.476	1.500	63.764	68.000
2027Q4	129.562	64.517	0.698	1.500	67.828	87.738
2028Q1	132.642	65.163	0.868	2.500	73.091	87.738
2028Q2	134.770	65.814	1.057	2.500	77.801	19.738
2028Q3	136.982	66.472	1.301	2.500	80.617	19.738
2028Q4	139.211	67.137	1.532	2.500	83.324	39.475
2029Q1	141.223	67.808	1.516	2.500	85.890	39.475
2029Q2	143.498	68.487	1.733	2.500	88.309	39.475
2029Q3	145.863	69.171	2.009	2.500	90.676	39.475
2029Q4	148.250	69.863	2.275	2.500	93.016	59.213
2030Q1	148.680	70.562	2.054	1.000	95.279	59.213
2030Q2	151.115	71.267	2.304	1.000	97.453	59.213
2030Q3	153.634	71.980	2.606	1.000	99.597	59.213
2030Q4	156.174	72.700	2.895	1.000	101.725	59.213

47. IFRS and non-IFRS reconciliation

The Q3 actual reconciliation includes stock compensation, structural adjustments and acquisition-related items. Total reported depreciation and amortization was $335 million. The retained reconciliation implies $313 million on the company non-IFRS basis: $340 million of operating profit plus $313 million of depreciation and amortization less $6 million of recurring other expense equals $647 million of adjusted EBITDA.

This actual-period bridge is preserved alongside the forward guidance basis. The model does not infer depreciation by simply subtracting operating profit from EBITDA when other recurring expense is present.

48. Quarterly income reconciliation

Quarter	Non-IFRS OP	SBC	IFRS OP	IFRS pre-tax	Book tax	Parent NI
2026Q4	395.000	68.000	327.000	323.659	46.121	276.538
2027Q1	343.768	68.000	275.768	273.569	43.771	228.798
2027Q2	389.000	68.000	321.000	318.055	50.889	266.166
2027Q3	444.130	68.000	376.130	371.438	59.430	311.008
2027Q4	506.369	87.738	418.631	412.868	66.059	345.809
2028Q1	453.423	87.738	365.686	358.982	64.617	293.365
2028Q2	517.333	19.738	497.595	492.684	88.683	403.001
2028Q3	595.818	19.738	576.080	571.001	102.780	467.221
2028Q4	673.750	39.475	634.274	629.606	113.329	515.277
2029Q1	586.043	39.475	546.567	542.781	108.556	433.225
2029Q2	669.417	39.475	629.942	628.811	125.762	502.049
2029Q3	748.704	39.475	709.228	709.058	141.812	566.246
2029Q4	842.926	59.213	783.712	785.168	157.034	627.134
2030Q1	704.967	59.213	645.754	650.182	130.036	519.145
2030Q2	795.153	59.213	735.940	745.430	149.086	595.344
2030Q3	886.523	59.213	827.310	840.090	168.018	671.072
2030Q4	986.964	59.213	927.751	944.184	188.837	754.347

49. Historical Q3 operating adjustments

The 441 government-share expense sits in other expense below operating profit. The forward guidance cost basis includes ordinary amortization; no extra acquisition amortization is deducted from the already calibrated forecast.

Item	OP addback
Employee stock compensation	50.000
Structural optimization	22.000
Acquisition amortization and other acquisition items	38.000
Total	110.000

50. Working capital and customer advances

Customer advances provide cash before the related delivery. Their later release reduces the amount still collected from customers for revenue already included in the forecast. Opening advances, new receipts and subsequent delivery releases have separate schedules.

Receivables, unbilled revenue, inventory, payables and tax balances connect operating profit to cash generation. Government grant receivables remain separate from ordinary customer receivables.

51. Operating working-capital balances

Quarter	Trade AR	Unbilled AR	Inventory	Trade AP	NWC cash
2026Q4	1,051.335	143.244	1,575.462	393.865	-50.175
2027Q1	1,032.170	135.008	1,428.822	376.689	156.865
2027Q2	1,108.411	144.980	1,495.454	415.404	-114.131
2027Q3	1,184.524	154.936	1,542.474	451.101	-97.391
2027Q4	1,277.459	167.092	1,618.578	498.024	-134.272
2028Q1	1,213.710	158.753	1,454.856	461.180	198.965
2028Q2	1,299.933	170.031	1,514.526	494.745	-123.606
2028Q3	1,394.126	182.352	1,578.804	531.638	-133.899
2028Q4	1,485.907	194.357	1,632.322	566.778	-122.164
2029Q1	1,386.482	181.352	1,483.830	525.849	219.992
2029Q2	1,481.001	193.715	1,555.643	562.679	-141.865
2029Q3	1,571.697	205.578	1,623.936	599.518	-134.013
2029Q4	1,673.178	218.852	1,693.891	638.278	-145.951
2030Q1	1,534.790	200.751	1,524.467	586.334	273.969
2030Q2	1,632.272	213.501	1,591.764	624.915	-138.947
2030Q3	1,730.478	226.347	1,659.442	665.020	-138.625
2030Q4	1,834.577	239.963	1,724.333	705.409	-142.217

52. Customer advances and separate Japan collection

Opening total customer contract liabilities are 886. Receipts, revenue release and closing liabilities are separate; releases reduce future cash collection for already-funded deliveries.

Quarter	New advances	Delivered releases	Closing advances	SPV fee AR	SPV benefit AR
2026Q4	70.000	116.750	839.250	0.000	0.000
2027Q1	247.606	116.750	970.106	7.500	6.810
2027Q2	287.232	125.500	1,131.839	7.500	14.455
2027Q3	298.582	156.451	1,273.970	7.500	18.849
2027Q4	298.578	127.980	1,444.567	7.500	23.759
2028Q1	136.065	165.303	1,415.330	11.250	28.546
2028Q2	101.432	202.625	1,314.136	11.250	33.902
2028Q3	90.000	219.633	1,184.504	11.250	40.323
2028Q4	90.000	232.312	1,042.192	11.250	47.292
2029Q1	72.500	243.562	871.130	23.125	59.020
2029Q2	68.750	246.062	693.818	23.125	72.065
2029Q3	67.500	224.174	537.145	23.125	83.777
2029Q4	67.500	144.488	460.156	23.125	96.471
2030Q1	50.000	115.603	394.553	32.500	108.849
2030Q2	46.250	86.718	354.085	32.500	122.562
2030Q3	45.000	75.960	323.125	32.500	138.440
2030Q4	45.000	69.062	299.062	32.500	155.568

53. Cash capex, grants and funding

Management indicated approximately $4 billion of 2027 net capital expenditure, measured after capital grants and before customer prepayments. About one third is expected to be supported by customer prepayments. The on-time reference case follows that funding indication; other outcomes reduce or delay collections.

The discussion of redirecting existing government support and a higher investment-credit rate does not create a second independent cash award in the model. Eligible costs, grant recognition and cash receipts are linked. Capital commitments can overlap the capital plan and are tracked as obligations.

The selected 2027 economic adjusted free cash flow is negative $407.319 million. The model includes $4.0 billion of net cash capex, $605.317 million of net customer-advance funding and other working-capital and collection effects. Additional cash conversion or a different spending path would be needed to reach positive free cash flow.

54. Investment and economic cash flow

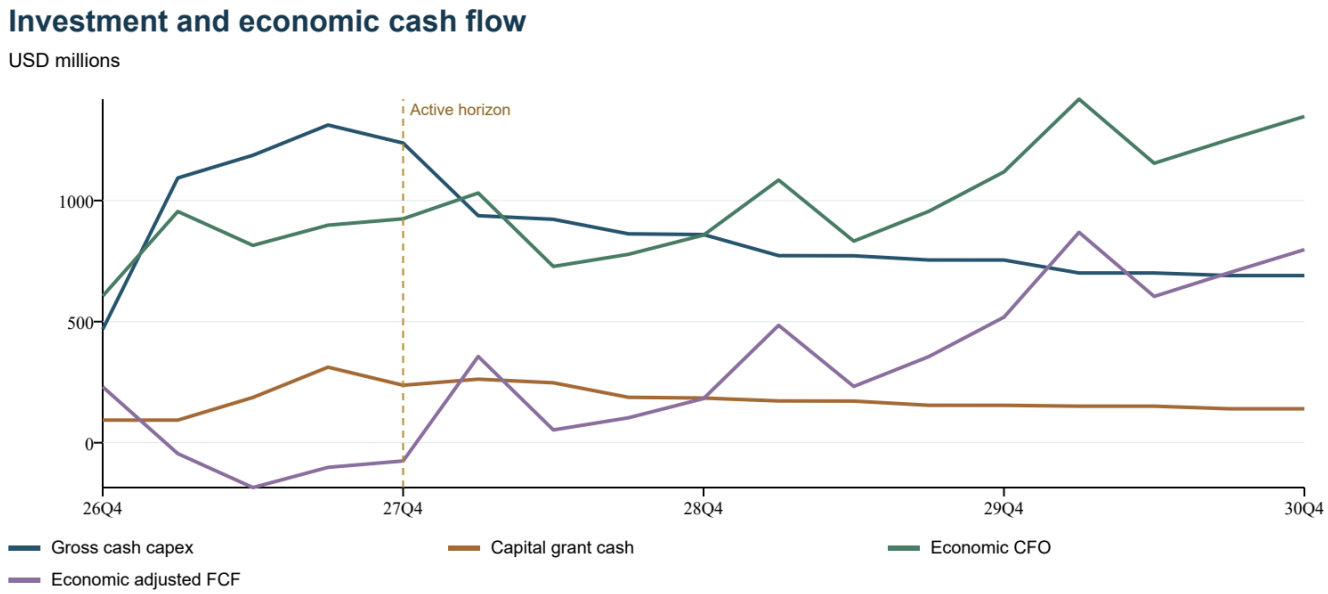


Figure 13. Investment and economic cash flow. Exact values are in the table below. USD millions.

Quarter	Gross capex	Grant cash	Economic CFO	Economic adj. FCF
2026Q4	468.275	93.275	605.731	230.731
2027Q1	1,093.275	93.275	954.896	-45.104
2027Q2	1,186.930	186.930	814.835	-185.165
2027Q3	1,311.930	311.930	898.270	-101.730
2027Q4	1,237.386	237.386	924.681	-75.319
2028Q1	937.386	262.386	1,031.142	356.142
2028Q2	922.477	247.477	727.819	52.819
2028Q3	862.477	187.477	777.957	102.957
2028Q4	859.495	184.495	857.271	182.271
2029Q1	772.495	172.495	1,084.853	484.853
2029Q2	771.899	171.899	832.366	232.366
2029Q3	754.499	154.499	955.591	355.591
2029Q4	754.380	154.380	1,118.450	518.450
2030Q1	700.900	150.900	1,418.780	868.780
2030Q2	700.876	150.876	1,154.049	604.049
2030Q3	690.180	140.180	1,252.147	702.147
2030Q4	690.175	140.175	1,347.183	797.183

55. 2027 economic CFO reconciliation

Component	USD millions
non IFRS operating profit	1,683.267
noncash depreciation amortization	1,569.108
trade unbilled inventory AP cash	-188.929
new customer advances less releases	605.317
operating grant collection less earned	95.675
Japan cash collection less book income	-31.259
other recurring cash expense	-24.000
cash tax	-141.694
interest received less paid	25.196
Economic CFO	3,592.681
Net cash capex	4,000.000
Economic adjusted FCF	-407.319

56. Grant receivables and collected amounts

Quarter	Capital earned	Capital collected	Capital AR	Operating earned	Operating collected	Operating AR
2026Q4	93.655	93.275	373.480	24.250	39.975	144.175
2027Q1	218.655	93.275	498.860	24.250	39.975	128.450
2027Q2	237.386	186.930	549.316	24.250	64.225	88.475
2027Q3	262.386	311.930	499.772	24.250	64.225	48.500
2027Q4	247.477	237.386	509.863	24.250	24.250	48.500
2028Q1	187.477	262.386	434.954	24.250	24.250	48.500
2028Q2	184.495	247.477	371.973	24.250	24.250	48.500
2028Q3	172.495	187.477	356.991	24.250	24.250	48.500
2028Q4	171.899	184.495	344.395	24.250	24.250	48.500
2029Q1	154.499	172.495	326.398	24.250	24.250	48.500
2029Q2	154.380	171.899	308.879	24.250	24.250	48.500
2029Q3	150.900	154.499	305.280	24.250	24.250	48.500
2029Q4	150.876	154.380	301.776	24.250	24.250	48.500
2030Q1	140.180	150.900	291.056	24.250	24.250	48.500
2030Q2	140.175	150.876	280.355	24.250	24.250	48.500
2030Q3	138.036	140.180	278.211	24.250	24.250	48.500
2030Q4	138.035	140.175	276.071	24.250	24.250	48.500

57. Debt, leases and liquidity

Opening cash and marketable securities total $3.212 billion. The source distinguishes current and noncurrent securities; the forecast states its liquidity assumption and tests access restrictions. The $1.5 billion revolving facility is contingent on its terms and lender conditions.

The EDB loan requires separate nominal principal, carrying value, cash coupon and effective-interest schedules. The precise remaining nominal principal and currency bridge are incomplete in the retained

evidence, so the selected proxy and range are disclosed. A modeled leverage screen cannot establish contractual compliance.

58. Liquidity and debt

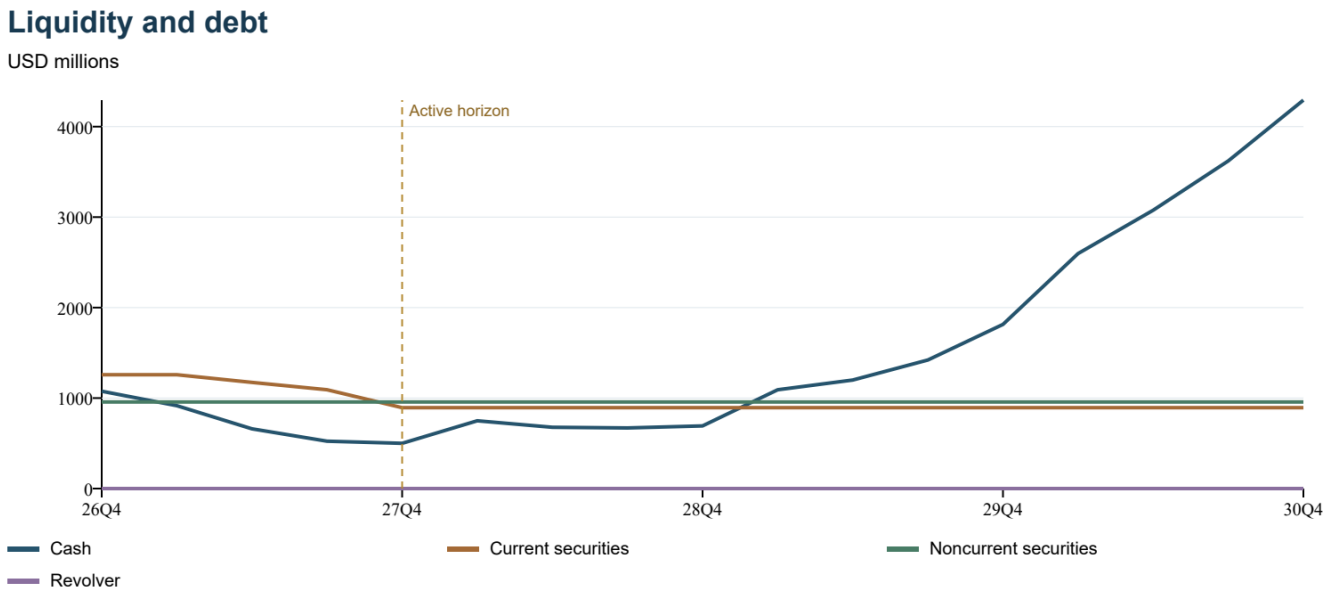


Figure 14. Liquidity and debt. Exact values are in the table below. USD millions.

Quarter	Cash	Current securities	Noncurrent securities	Revolver
2026Q4	1,075.703	1,258.000	957.000	0.000
2027Q1	915.992	1,258.000	957.000	0.000
2027Q2	660.215	1,173.251	957.000	0.000
2027Q3	523.518	1,092.077	957.000	0.000
2027Q4	500.000	893.927	957.000	0.000
2028Q1	749.009	893.927	957.000	0.000
2028Q2	677.308	893.927	957.000	0.000
2028Q3	669.921	893.927	957.000	0.000
2028Q4	692.498	893.927	957.000	0.000
2029Q1	1,091.744	893.927	957.000	0.000
2029Q2	1,199.417	893.927	957.000	0.000
2029Q3	1,420.827	893.927	957.000	0.000
2029Q4	1,814.246	893.927	957.000	0.000
2030Q1	2,597.083	893.927	957.000	0.000
2030Q2	3,076.101	893.927	957.000	0.000
2030Q3	3,621.249	893.927	957.000	0.000
2030Q4	4,292.908	893.927	957.000	0.000

59. Debt principal, carrying value and interest

Quarter	EDB nominal	EDB carrying	EDB principal paid	Other principal paid	Lease principal	Cash interest
2026Q4	1,133.513	1,031.324	39.087	8.750	14.000	17.157
2027Q1	1,133.513	1,035.548	0.000	8.750	14.000	8.642
2027Q2	1,094.427	1,000.718	39.087	8.750	14.000	16.270
2027Q3	1,094.427	1,004.928	0.000	8.750	14.000	8.073
2027Q4	1,055.340	970.035	39.087	0.000	14.000	15.525
2028Q1	1,055.340	974.090	0.000	0.000	14.000	7.668
2028Q2	1,016.253	939.042	39.087	0.000	14.000	14.900
2028Q3	1,016.253	943.030	0.000	0.000	14.000	7.318
2028Q4	977.167	907.913	39.087	35.000	14.000	14.057
2029Q1	977.167	911.704	0.000	0.000	14.000	6.529
2029Q2	938.080	876.431	39.087	0.000	14.000	13.176
2029Q3	938.080	880.189	0.000	0.000	14.000	6.179
2029Q4	898.993	844.841	39.087	0.000	14.000	12.589
2030Q1	898.993	848.404	0.000	0.000	14.000	5.829
2030Q2	859.907	812.898	39.087	0.000	14.000	11.930
2030Q3	859.907	816.420	0.000	0.000	14.000	5.479
2030Q4	820.820	780.833	39.087	0.000	14.000	11.339

60. Closing financing balances and coupon accrual

Opening EDB nominal principal 1,172.6, other debt 70 and lease debt 580. Opening coupon payable 5.44264 is a date-based estimate inside existing accruals. Principal payments reduce the corresponding balances; cash coupons settle the accrued payable.

Quarter	EDB nominal	Other debt	Lease debt	EDB coupon accrued	EDB coupon paid	Closing coupon payable
2026Q4	1,133.513	61.250	566.000	4.093	8.231	1.304
2027Q1	1,133.513	52.500	552.000	3.913	0.000	5.217
2027Q2	1,094.427	43.750	538.000	3.913	7.913	1.217
2027Q3	1,094.427	35.000	524.000	3.862	0.000	5.079
2027Q4	1,055.340	35.000	510.000	3.817	7.682	1.214
2028Q1	1,055.340	35.000	496.000	3.684	0.000	4.898
2028Q2	1,016.253	35.000	482.000	3.640	7.408	1.130
2028Q3	1,016.253	35.000	468.000	3.586	0.000	4.717
2028Q4	977.167	0.000	454.000	3.541	7.133	1.124
2029Q1	977.167	0.000	440.000	3.373	0.000	4.498
2029Q2	938.080	0.000	426.000	3.367	6.821	1.043
2029Q3	938.080	0.000	412.000	3.310	0.000	4.354
2029Q4	898.993	0.000	398.000	3.265	6.585	1.034
2030Q1	898.993	0.000	384.000	3.103	0.000	4.138
2030Q2	859.907	0.000	370.000	3.094	6.276	0.956
2030Q3	859.907	0.000	356.000	3.034	0.000	3.991
2030Q4	820.820	0.000	342.000	2.989	6.036	0.945

61. Revolver and maturity controls

The new facility commitment is1,500, matures August 21,2031 and is tested with a conservative 4x trailing EBITDA proxy. Exact contractual definitions remain unavailable. The EDB nominal opening 1,172.6 is an estimate against reported carrying value 1,066; coupon 1.4%, effective rate 3.2%.

Quarter	Draw	Repay	Balance	Available	TTM EBITDA	Unfunded
2026Q4	0.000	0.000	0.000	1,500.000	2,436.000	0.000
2027Q1	0.000	0.000	0.000	1,500.000	2,512.000	0.000
2027Q2	0.000	0.000	0.000	1,500.000	2,640.462	0.000
2027Q3	0.000	0.000	0.000	1,500.000	2,815.179	0.000
2027Q4	0.000	0.000	0.000	1,500.000	3,011.772	0.000
2028Q1	0.000	0.000	0.000	1,500.000	3,228.376	0.000
2028Q2	0.000	0.000	0.000	1,500.000	3,447.295	0.000
2028Q3	0.000	0.000	0.000	1,500.000	3,681.722	0.000
2028Q4	0.000	0.000	0.000	1,500.000	3,931.798	0.000
2029Q1	0.000	0.000	0.000	1,500.000	4,188.079	0.000
2029Q2	0.000	0.000	0.000	1,500.000	4,399.178	0.000
2029Q3	0.000	0.000	0.000	1,500.000	4,622.163	0.000
2029Q4	0.000	0.000	0.000	1,500.000	4,842.831	0.000

Quarter	Draw	Repay	Balance	Available	TTM EBITDA	Unfunded
2030Q1	0.000	0.000	0.000	1,500.000	5,077.236	0.000
2030Q2	0.000	0.000	0.000	1,500.000	5,259.292	0.000
2030Q3	0.000	0.000	0.000	1,500.000	5,446.473	0.000
2030Q4	0.000	0.000	0.000	1,500.000	5,644.199	0.000

62. Tax and finite NOLs

Book tax and cash tax follow separate schedules. The model allocates taxable income to the United States, Germany and Singapore, then limits loss use to each jurisdiction and the remaining balance. Foreign tax losses cannot shelter unrelated domestic income.

The forecast excludes recurring use of the Q3 government-share charge and German deferred-tax revaluation. It avoids adding a second investment-credit cash benefit to the same eligible capital expenditure.

63. Selected tax assumptions

Jurisdiction / item	Selected law
Taxable profit allocation	45% US; 25% Germany; 30% Singapore
Statutory rate proxies	21.8% US; 31.6% Germany; 17% Singapore
Opening tax losses	US6,665; Germany 937; Singapore 0
Maximum profit offset	80% US; 50% Germany; capped by finite local losses
Cash payment lag	One quarter; opening payable proxy 33
Additional capital tax credits	None beyond the grant/basis schedule
Cash tax on employee awards	No discretionary windfall or excess deduction

64. Book and cash tax

The selected jurisdiction allocation, finite tax-loss utilization and payment lags are explicit model assumptions. The Q3 government-charge and German deferred-tax revaluation effects are isolated in actuals.

Quarter	IFRS pre-tax	Book tax	Current tax	Cash tax	Net deferred liability	Non-IFRS tax
2026Q4	323.659	46.121	35.641	33.000	74.480	55.811
2027Q1	273.569	43.771	30.125	35.641	88.126	54.651
2027Q2	318.055	50.889	35.024	30.125	103.990	61.769
2027Q3	371.438	59.430	40.903	35.024	122.518	70.310
2027Q4	412.868	66.059	45.465	40.903	143.112	80.097
2028Q1	358.982	64.617	39.531	45.465	168.197	80.410
2028Q2	492.684	88.683	54.254	39.531	202.626	92.236
2028Q3	571.001	102.780	62.879	54.254	242.528	106.333
2028Q4	629.606	113.329	69.332	62.879	286.524	120.435
2029Q1	542.781	108.556	59.771	69.332	335.310	116.451
2029Q2	628.811	125.762	69.245	59.771	391.827	133.657
2029Q3	709.058	141.812	78.081	69.245	455.557	149.707
2029Q4	785.168	157.034	86.463	78.081	526.128	168.876
2030Q1	650.182	130.036	75.022	86.463	581.143	141.879
2030Q2	745.430	149.086	99.789	75.022	630.439	160.929

Quarter	IFRS pre-tax	Book tax	Current tax	Cash tax	Net deferred liability	Non-IFRS tax
2030Q3	840.090	168.018	119.076	99.789	679.382	179.861
2030Q4	944.184	188.837	139.342	119.076	728.877	200.679

65. Government equity and ordinary awards

The September 30 legal common-share count was approximately 557.45 million. Management guided to 575 million diluted shares in Q4 and approximately 600 million from 2027. The remaining government issuance and ordinary employee awards sit inside that guidance reconciliation.

The detailed September award ledger is unavailable. An explicitly estimated finite opening pool and future grants connect service expense, forfeitures, vesting, withholding cash and issued shares. The residual needed to reconcile the modeled denominator to management guidance is shown separately. It does not establish an observed legal share count.

The estimated opening award cost expires after six quarters and produces a modeled compensation-cost decline in 2028. The six-quarter remaining service period is an explicit estimate. The saved sensitivities test PSU payout, grant-price changes and cash compensation replacing grants when plan renewal fails.

66. Dilution and government issuance

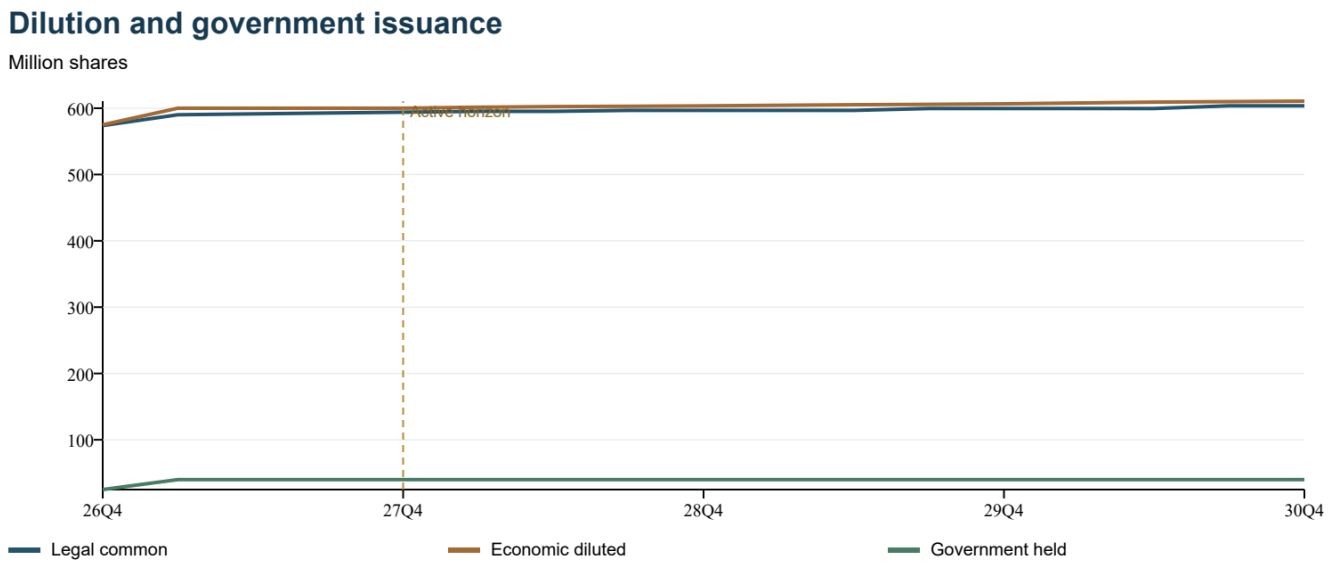


Figure 15. Dilution and government issuance. Exact values are in the table below. Million shares.

Quarter	Legal common	Economic diluted	Government held	Guide residual
2026Q4	573.796	575.000	24.907	7.823
2027Q1	590.127	600.000	39.907	9.510
2027Q2	591.440	600.000	39.907	8.500
2027Q3	592.737	600.000	39.907	7.144
2027Q4	594.017	600.000	39.907	5.553
2028Q1	595.281	601.512	39.907	5.553
2028Q2	595.281	602.481	39.907	5.553
2028Q3	596.722	602.895	39.907	5.553
2028Q4	596.722	603.527	39.907	5.553
2029Q1	596.722	604.371	39.907	5.553
2029Q2	596.722	605.217	39.907	5.553
2029Q3	599.532	605.777	39.907	5.553
2029Q4	599.532	606.567	39.907	5.553
2030Q1	599.532	607.876	39.907	5.553
2030Q2	599.532	609.187	39.907	5.553
2030Q3	603.642	609.933	39.907	5.553
2030Q4	603.642	610.677	39.907	5.553

67. Award-plan capacity and approval dependency

Item	Units / assumption
Current plan reserve	Unavailable in the September source
Dated available-unit diagnostic	12 million under the 2021 plan at the prior year-end
Future grants 2027-2030	26 million target units
Incremental approval need if12 million remain available	14 million target units before payout variation
Annual maximum PSU consumption	8.125 million total units at2x PSU payout
No-renewal case	Replace unapproved grants with ordinary cash retention compensation

68. Closed ordinary-award schedule

Opening award pool 11.7 million and remaining service cost 408 over six quarters are estimates. Future annual grants 6.5 million at the fixed 40.34 reference price have three-year service, a5% annual forfeiture assumption and 30% withholding. The same cohort schedule derives expense, shares and withholding cash.

Quarter	Gross vest	Withheld shares	Net issue	SBC expense	Withholding cash
2026Q4	1.925	0.578	1.348	68.000	23.298
2027Q1	1.901	0.570	1.330	68.000	23.001
2027Q2	1.876	0.563	1.313	68.000	22.708
2027Q3	1.852	0.556	1.297	68.000	22.419
2027Q4	1.829	0.549	1.280	87.738	22.133
2028Q1	1.806	0.542	1.264	87.738	21.851
2028Q2	0.000	0.000	0.000	19.738	0.000
2028Q3	2.058	0.617	1.441	19.738	24.910
2028Q4	0.000	0.000	0.000	39.475	0.000
2029Q1	0.000	0.000	0.000	39.475	0.000
2029Q2	0.000	0.000	0.000	39.475	0.000
2029Q3	4.014	1.204	2.810	39.475	48.574
2029Q4	0.000	0.000	0.000	59.213	0.000
2030Q1	0.000	0.000	0.000	59.213	0.000
2030Q2	0.000	0.000	0.000	59.213	0.000
2030Q3	5.871	1.761	4.110	59.213	71.056
2030Q4	0.000	0.000	0.000	59.213	0.000

69. Dividend and capital returns

The October 9 dividend payment is a Q4 cash outflow from the September opening balance. The dividend declared on October 27 is payable on January 14, 2027. Later quarterly payments are continuation assumptions and use entitled legal shares.

The September repurchase authorization had been exhausted. The forecast includes no additional buybacks. The stated return policy is an upper limit linked to adjusted free cash flow and investment needs.

70. Dividend and equity cash flows

Quarterly dividend assumption is USD 0.12 per entitled legal share. Future board declarations remain separate from this selected continuation.

Quarter	Dividend cash	Dividend payable	Employee withholding
2026Q4	66.894	68.856	23.298
2027Q1	68.856	70.815	23.001
2027Q2	70.815	70.973	22.708
2027Q3	70.973	71.128	22.419
2027Q4	71.128	71.282	22.133
2028Q1	71.282	71.434	21.851
2028Q2	71.434	71.434	0.000
2028Q3	71.434	71.607	24.910
2028Q4	71.607	71.607	0.000
2029Q1	71.607	71.607	0.000
2029Q2	71.607	71.607	0.000
2029Q3	71.607	71.944	48.574
2029Q4	71.944	71.944	0.000
2030Q1	71.944	71.944	0.000
2030Q2	71.944	71.944	0.000
2030Q3	71.944	72.437	71.056
2030Q4	72.437	72.437	0.000

71. Joint realization states

The operating model evaluates joint outcomes before taking a weighted result. The same outcome links optical timing, related customer funding, interposer conversion and the Japanese programs. This preserves the connection between delivered revenue, manufacturing costs, cash and the denominator.

72. All 48 joint outcomes

O = optical on time; D = two-quarter delay; S = slow ramp. I0/I1 = interposer fails/succeeds; C0/C1 = custom wins fail/succeed. J29/J30 = phase-one fees plus phase-two first fees in2029/2030; J1 = phase one only; J0 = no fees through 2030. Weights sum to100%. Each state supplies its own revenue, cost and funding path.

State code	Probability %	Q4 2027 ceiling
O | I0 | C0 | J29	0.735	72.816
O | I0 | C0 | J30	0.315	72.816
O | I0 | C0 | J1	0.210	72.816
O | I0 | C0 | J0	0.840	69.035
O | I0 | C1 | J29	1.715	74.813
O | I0 | C1 | J30	0.735	74.813
O | I0 | C1 | J1	0.490	74.813
O | I0 | C1 | J0	1.960	70.989
O | I1 | C0 | J29	6.615	73.920
O | I1 | C0 | J30	2.835	73.920
O | I1 | C0 | J1	1.890	73.920
O | I1 | C0 | J0	7.560	70.118
O | I1 | C1 | J29	15.435	75.917
O | I1 | C1 | J30	6.615	75.917

State code	Probability %	Q4 2027 ceiling
O | I1 | C1 | J1	4.410	75.917
O | I1 | C1 | J0	17.640	72.072
D | I0 | C0 | J29	0.420	57.695
D | I0 | C0 | J30	0.180	57.695
D | I0 | C0 | J1	0.120	57.695
D | I0 | C0 | J0	0.480	54.171
D | I0 | C1 | J29	0.980	59.691
D | I0 | C1 | J30	0.420	59.691
D | I0 | C1 | J1	0.280	59.691
D | I0 | C1 | J0	1.120	56.125
D | I1 | C0 | J29	1.680	58.799
D | I1 | C0 | J30	0.720	58.799
D | I1 | C0 | J1	0.480	58.799
D | I1 | C0 | J0	1.920	55.255
D | I1 | C1 | J29	3.920	60.796
D | I1 | C1 | J30	1.680	60.796
D | I1 | C1 | J1	1.120	60.796
D | I1 | C1 | J0	4.480	57.208
S | I0 | C0 | J29	0.420	57.522
S | I0 | C0 | J30	0.180	57.522
S | I0 | C0 | J1	0.120	57.522
S | I0 | C0 | J0	0.480	54.002
S | I0 | C1 | J29	0.980	59.519
S | I0 | C1 | J30	0.420	59.519
S | I0 | C1 | J1	0.280	59.519
S | I0 | C1 | J0	1.120	55.956
S | I1 | C0 | J29	0.630	58.627
S | I1 | C0 | J30	0.270	58.627
S | I1 | C0 | J1	0.180	58.627
S | I1 | C0 | J0	0.720	55.086
S | I1 | C1 | J29	1.470	60.623
S | I1 | C1 | J30	0.630	60.623
S | I1 | C1 | J1	0.420	60.623
S | I1 | C1 | J0	1.680	57.039

73. Numerical probability ledger

The probability table identifies the conditional amount, timing, overlap and costs for each opportunity. Shared products and customers receive one allocation. A successful manufacturing opportunity still carries its production cost, support, capital and working-capital requirements.

74. Probability and overlap ledger

Event	Probability / dependency	Conditional scope	Overlap and cost
Optical on time / delayed / slow	70% / 20% / 10%	Incremental delivery above Q4 run rate	Delayed volume 80% retained, recovered over four quarters; fixed costs remain
Interposer	90% / 80% / 60% conditional on optical state	Full scheduled CID interposer cohort	50% retained net scope; customer cofunding removed on failure
Custom-design program	70%	1,000 lifetime manufacturing plus services	Contained in Auto/HIoT/services; 20% committed service support
Japan phase one	60% across three fee outcomes	2027 fees 50 conditional; source-constrained total OP	Unallocated benefit has 60% cash realization after two quarters
Japan phase two	35% starts 2029; 15% starts 2030	Annual fee 50 conditional,40% service cost	External SPV factory remains outside GFS revenue

75. Numerical Rule 16b contributions - Calendar 2027

USD millions. Each comparison uses approved paired branches. Conditional values show the effect when the listed event occurs; weighted values apply its modeled probability. Shared downstream effects overlap across these isolated comparisons, so the rows are not an additive waterfall.

Signal	Event probability %	Conditional revenue change	Conditional OP change	Weighted revenue change	Weighted OP change
Custom design conversion	70.000	30.000	18.180	21.000	12.726
Interposer conversion	85.000	0.000	0.000	0.000	0.000
Japan phase one	60.000	50.000	84.054	30.000	50.433
Japan phase two	50.000	0.000	0.000	0.000	0.000
Joint optical execution risk	30.000	-289.795	-197.897	-86.938	-59.369

76. Conditional reference and outcome bounds - Calendar 2027

Signal	Reference revenue	Reference OP	Conditional revenue	Conditional OP	OP change range
Custom design conversion	8,414.432	1,670.541	8,444.432	1,688.721	18.000 to 18.300
Interposer conversion	8,447.364	1,691.416	8,447.364	1,691.416	0.000 to 0.000
Japan phase one	8,405.432	1,632.835	8,455.432	1,716.889	81.816 to 85.014
Japan phase two	8,455.432	1,716.889	8,455.432	1,716.889	0.000 to 0.000
Joint optical execution risk	8,522.370	1,742.637	8,232.575	1,544.739	-259.713 to -159.597

77. Numerical Rule 16b contributions - Q4 2027 to Q3 2028

USD millions. Each comparison uses approved paired branches. Conditional values show the effect when the listed event occurs; weighted values apply its modeled probability. Shared downstream effects overlap across these isolated comparisons, so the rows are not an additive waterfall.

Signal	Event probability %	Conditional revenue change	Conditional OP change	Weighted revenue change	Weighted OP change
Custom design conversion	70.000	105.000	59.383	73.500	41.568
Interposer conversion	85.000	50.000	32.875	42.500	27.944
Japan phase one	60.000	68.750	112.537	41.250	67.522
Japan phase two	50.000	0.000	0.000	0.000	0.000
Joint optical execution risk	30.000	-659.495	-457.737	-197.849	-137.321

78. Conditional reference and outcome bounds - Q4 2027 to Q3 2028

Signal	Reference revenue	Reference OP	Conditional revenue	Conditional OP	OP change range
Custom design conversion	9,437.271	2,031.375	9,542.271	2,090.758	58.607 to 59.901
Interposer conversion	9,495.199	2,063.702	9,545.199	2,096.577	32.500 to 33.125
Japan phase one	9,469.521	2,005.421	9,538.271	2,117.958	105.606 to 115.347
Japan phase two	9,538.271	2,117.958	9,538.271	2,117.958	0.000 to 0.000
Joint optical execution risk	9,708.620	2,210.264	9,049.125	1,752.527	-590.197 to -386.399

79. Signal evidence, overlap and counters

Signal / source date	Scope and lineage	Counter-trigger
Custom design conversion; Nov 4 2026 call	Remove reserved 70% cohort from Auto/HIoT/services, then realize full conditional success; committed support remains in both paths. Source: approved branch revenue and OP arrays; paired identities are embedded in the numerical ledger.	Customer conversion, qualification or paid production fails
Interposer conversion; Nov 4 2026 call	50% retained scope; I1/I0 pair holds optical/custom/Japan state fixed. Linked downstream economics remain in company OP. Source: approved branch revenue and OP arrays; paired identities are embedded in the numerical ledger.	H1 2028 qualification, customer acceptance or contract fails
Japan phase one; Oct 14 2026 event / Nov 4 call	Phase-one service fees and estimated unallocated benefit. Pairs to no-fee state, including any jointly selected phase-two amount during a later period. Source: approved branch revenue and OP arrays; paired identities are embedded in the numerical ledger.	Definitive agreement, fee entitlement or collection fails
Japan phase two; Oct 14 2026 event	Incremental phase-two fees beyond phase one. The 2027 and active-window amounts are zero because first fees begin 2029/2030. Source: approved branch revenue and OP arrays; paired identities are embedded in the numerical ledger.	End 2028 approval or subsequent fee start delayed
Joint optical execution risk; Nov 4 2026 call	30% adverse joint state versus all-on-time conditional expectation; interposer conversion probability changes with optical state. This overlaps the isolated interposer effect. Source: approved branch revenue and OP arrays; paired identities are embedded in the numerical ledger.	Qualified delivery pace or customer acceptance misses the on-time schedule

80. Complete quarterly financial path

Quarterly statements connect the business forecast to asset balances, funding needs and share counts. The rows use calendar quarters. Actual Q3 evidence supports the starting point while the previously published historical forecast retains its original vintage.

81. Operating profit and parent income

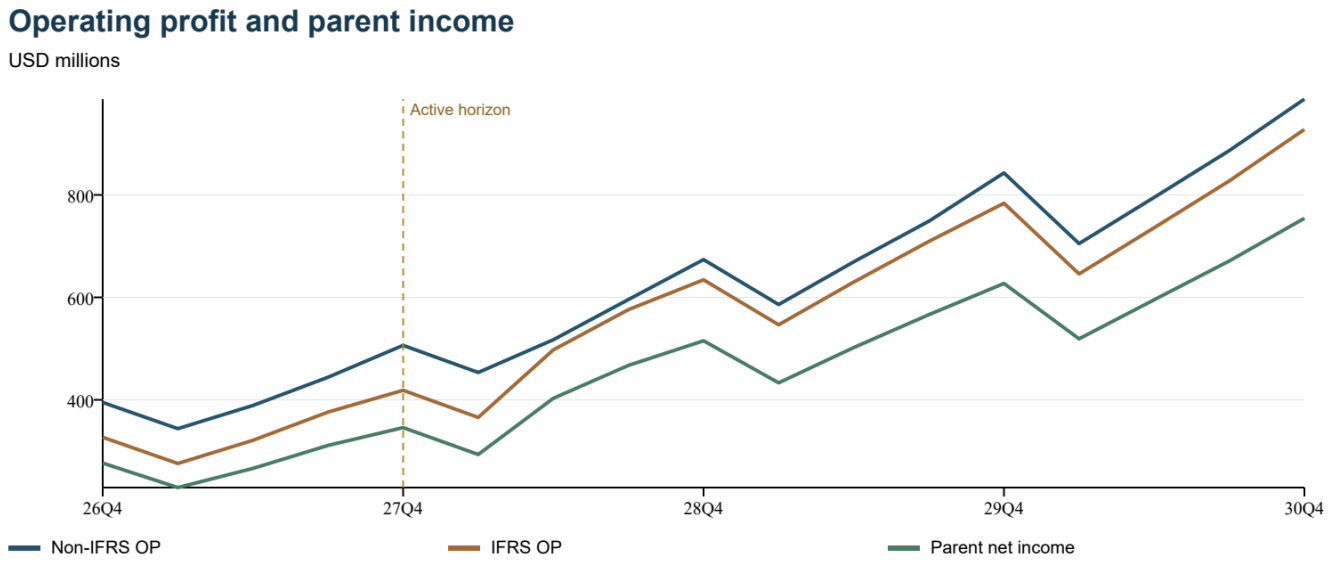


Figure 16. Operating profit and parent income. Exact values are in the table below. USD millions.

Quarter	Revenue	Gross profit	Non-IFRS OP	IFRS OP	Parent NI
2026Q4	2,000.000	630.000	395.000	327.000	276.538
2027Q1	1,892.500	579.010	343.768	275.768	228.798
2027Q2	2,031.736	629.839	389.000	321.000	266.166
2027Q3	2,170.736	690.751	444.130	376.130	311.008
2027Q4	2,340.459	758.779	506.369	418.631	345.809
2028Q1	2,227.788	714.445	453.423	365.686	293.365
2028Q2	2,385.252	784.663	517.333	497.595	403.001
2028Q3	2,557.272	867.544	595.818	576.080	467.221
2028Q4	2,724.889	949.820	673.750	634.274	515.277
2029Q1	2,555.187	861.829	586.043	546.567	433.225
2029Q2	2,727.804	948.505	669.417	629.942	502.049
2029Q3	2,893.436	1,031.221	748.704	709.228	566.246
2029Q4	3,078.767	1,128.636	842.926	783.712	627.134
2030Q1	2,835.411	993.194	704.967	645.754	519.145
2030Q2	3,013.436	1,086.024	795.153	735.940	595.344
2030Q3	3,192.786	1,180.080	886.523	827.310	671.072
2030Q4	3,382.897	1,283.057	986.964	927.751	754.347

82. Complete cash-flow statements

Opening cash plus reported CFO, CFI and CFF equals closing cash in every forecast quarter. Securities purchases and redemptions are included in CFI. The model holds future FX changes at zero.

Quarter	Opening cash	Reported CFO	Reported CFI	Reported CFF	Closing cash
2026Q4	997.000	605.731	-375.000	-152.029	1,075.703
2027Q1	1,075.703	942.957	-979.419	-123.249	915.992

Quarter	Opening cash	Reported CFO	Reported CFI	Reported CFF	Closing cash
2027Q2	915.992	811.523	-895.669	-171.630	660.215
2027Q3	660.215	888.890	-901.373	-124.215	523.518
2027Q4	523.518	924.116	-785.760	-161.873	500.000
2028Q1	500.000	1,024.107	-660.297	-114.801	749.009
2028Q2	749.009	726.458	-658.739	-139.421	677.308
2028Q3	677.308	769.462	-659.188	-117.661	669.921
2028Q4	669.921	855.561	-659.234	-173.750	692.498
2029Q1	692.498	1,075.475	-584.093	-92.136	1,091.744
2029Q2	1,091.744	827.138	-581.596	-137.869	1,199.417
2029Q3	1,199.417	942.692	-580.922	-140.360	1,420.827
2029Q4	1,420.827	1,110.576	-579.538	-137.619	1,814.246
2030Q1	1,814.246	1,401.686	-527.077	-91.773	2,597.083
2030Q2	2,597.083	1,138.160	-522.181	-136.960	3,076.101
2030Q3	3,076.101	1,226.811	-519.185	-162.478	3,621.249
2030Q4	3,621.249	1,324.297	-515.775	-136.863	4,292.908

83. Complete valuation windows

The retained valuation method is 20 times forward four-quarter consolidated non-IFRS operating profit divided by the target-quarter economic diluted share count. Manufacturing depreciation remains in operating profit. Each window includes its current quarter and the following three quarters.

Government issuance is represented explicitly in the denominator. Cash, securities and debt enter the funding and risk analysis. The selected valuation formula uses operating profit and diluted shares without a separate net-cash adjustment.

84. Rolling calculated ceilings

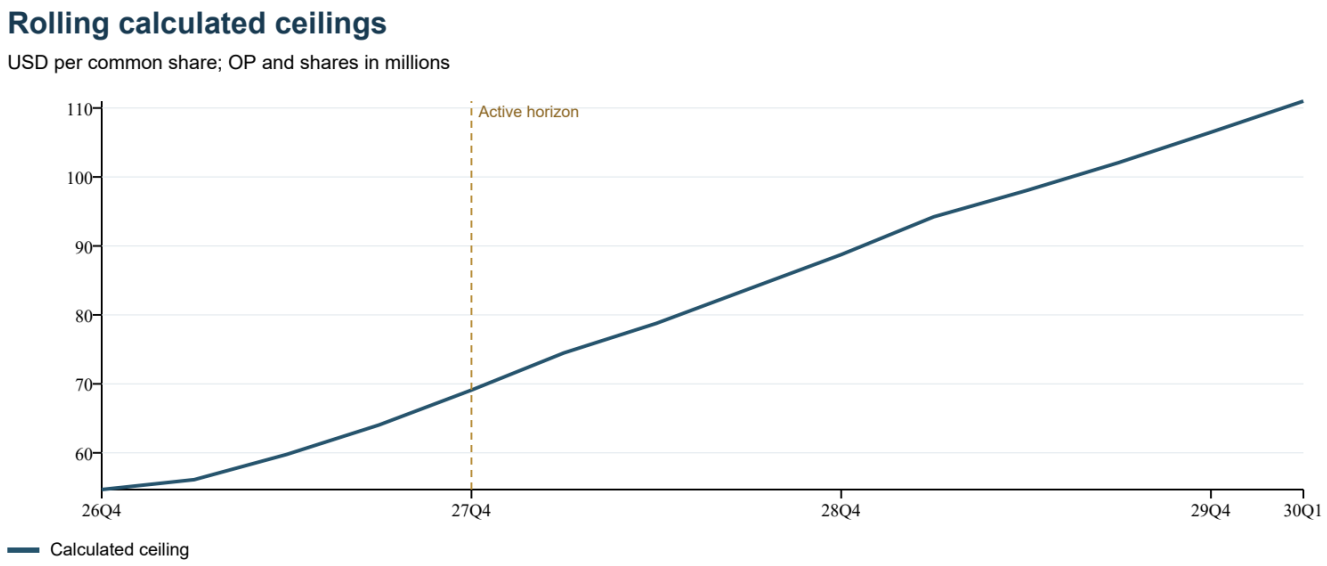


Figure 17. Rolling calculated ceilings. Exact values are in the table below. USD per common share; OP and shares in millions.

Quarter	Four-quarter OP	Multiple	Diluted shares	Ceiling
2026Q4	1,571.898	20.000	575.000	54.675
2027Q1	1,683.267	20.000	600.000	56.109
2027Q2	1,792.923	20.000	600.000	59.764
2027Q3	1,921.256	20.000	600.000	64.042
2027Q4	2,072.943	20.000	600.000	69.098
2028Q1	2,240.324	20.000	601.512	74.490
2028Q2	2,372.943	20.000	602.481	78.772
2028Q3	2,525.027	20.000	602.895	83.763
2028Q4	2,677.913	20.000	603.527	88.742
2029Q1	2,847.089	20.000	604.371	94.217
2029Q2	2,966.013	20.000	605.217	98.015
2029Q3	3,091.749	20.000	605.777	102.075
2029Q4	3,229.569	20.000	606.567	106.487
2030Q1	3,373.607	20.000	607.876	110.997

85. Exact rolling windows

The final complete window startsQ 1 2030 and endsQ 4 2030. Later starting quarters lack a complete four-quarter model horizon. Q3 2026 remains at its original published vintage outside this current forecast.

Starting quarter	Included quarters
2026Q4	2026Q4 + 2027Q1 + 2027Q2 + 2027Q3
2027Q1	2027Q1 + 2027Q2 + 2027Q3 + 2027Q4
2027Q2	2027Q2 + 2027Q3 + 2027Q4 + 2028Q1
2027Q3	2027Q3 + 2027Q4 + 2028Q1 + 2028Q2
2027Q4	2027Q4 + 2028Q1 + 2028Q2 + 2028Q3

Starting quarter	Included quarters
2028Q1	2028Q1 + 2028Q2 + 2028Q3 + 2028Q4
2028Q2	2028Q2 + 2028Q3 + 2028Q4 + 2029Q1
2028Q3	2028Q3 + 2028Q4 + 2029Q1 + 2029Q2
2028Q4	2028Q4 + 2029Q1 + 2029Q2 + 2029Q3
2029Q1	2029Q1 + 2029Q2 + 2029Q3 + 2029Q4
2029Q2	2029Q2 + 2029Q3 + 2029Q4 + 2030Q1
2029Q3	2029Q3 + 2029Q4 + 2030Q1 + 2030Q2
2029Q4	2029Q4 + 2030Q1 + 2030Q2 + 2030Q3
2030Q1	2030Q1 + 2030Q2 + 2030Q3 + 2030Q4

86. Annual cross-check

The annual view reconciles to the four component quarters. It shows the investment period, the timing of customer and government funding and the resulting financial capacity. Annual values remain linked to the same quarterly law.

87. Annual consolidated cross-check

Calendar year	Revenue	Non-IFRS OP	Parent NI	Economic CFO	Economic adj. FCF	Net cash capex
2027	8,435.432	1,683.267	1,151.782	3,592.681	-407.319	4,000.000
2028	9,895.201	2,240.324	1,678.864	3,394.189	694.189	2,700.000
2029	11,255.194	2,847.089	2,128.654	3,991.260	1,591.260	2,400.000
2030	12,424.529	3,373.607	2,539.908	5,172.159	2,972.159	2,200.000

88. Sensitivities and bounds

Sensitivities change the underlying operating or financing assumption and recalculate its dependent costs and cash flows. Price and unit tests have distinct effects. Grant and customer-payment delays alter liquidity, while award and government-share scenarios alter ownership.

89. Financial stress outcomes

USD millions. A positive unfunded obligation identifies a financially infeasible path under the selected financing limits. The severe combined stress leaves 18,120.687 million of unpaid cash obligations by2030. The reserve shortfall is18,620.687 million and includes the 500 million target buffer. These paths require additional financing or spending changes.

Case / funding status	Minimum raw cash	Max revolver	Reserve gap	Unfunded obligation
price plus 5 pct - funded in model	500.000	0.000	0.000	0.000
units minus 15 pct - funded in model	500.000	0.000	0.000	0.000
capex plus 25 pct - funded in model	500.000	658.866	0.000	0.000
capital grants zero - funded in model	500.000	237.603	0.000	0.000
capital grant cash delay two quarters - funded in model	500.000	0.000	0.000	0.000
customer advances zero - funded in model	500.000	0.000	0.000	0.000
no revolver - funded in model	500.000	0.000	0.000	0.000

Case / funding status	Minimum raw cash	Max revolver	Reserve gap	Unfunded obligation
no tax loss offsets - funded in model	500.000	0.000	0.000	0.000
double PSU payout - funded in model	500.000	0.000	0.000	0.000
reference price half - funded in model	500.000	0.000	0.000	0.000
government remaining issuance zero - funded in model	500.000	0.000	0.000	0.000
no future equity plan renewal - funded in model	500.000	0.000	0.000	0.000
opening capital payable paid - funded in model	500.000	0.000	0.000	0.000
severe funding stress - FINANCIALLY INFEASIBLE	-18,120.687	0.000	18,620.687	18,120.687

90. Analytical score

The selected analytical score is 41 out of 60, displayed as Base 68. The category table gives the evidence for each component. Excel Base is 68 under the owner's alignment instruction.

91. Framework scorecard

Category	Points	Maximum	Evidence
Core Thesis	16.000	20.000	Differentiated photonics, SiGe, power and trusted manufacturing have scarce qualified capacity. The wider business retains competing foundry routes and mature products.
Cycle Stage	8.000	10.000	Communications growth has continued for eight quarters, 2027 optical capacity is booked, and the silicon-photonics exit milestone is one year earlier. Equipment and qualification still govern realization.
TAM Expansion	8.000	10.000	Optical connectivity, power, physical AI, custom silicon and government-funded fabrication broaden the opportunity. The prior score already recognized these adjacent markets.
Catalysts	5.000	5.000	2027 photonics capacity, MPS production, interposer qualification and potential SPV fees provide dated tests.
Macro	7.000	10.000	AI infrastructure and trusted supply support demand; smartphone conditions and industrial cycles remain mixed.
Alpha	2.000	5.000	The major partnerships and targets are public. The useful analytical work is the separation of product mix, funding and ownership.
Risks	-5.000	0.000	All five classes remain material despite stronger optical demand.
Total	41.000	60.000	Rounded Base 68

92. Risks and invalidation tests

Key risks are the capital program, customer concentration, qualification delays, competition and legacy-market cyclicality. Funding availability, source-accounting gaps and dilution create additional uncertainty. A strong demand statement must translate into qualified production, customer acceptance and cash collection.

93. Five distinct risk classes

Risk	Variable and invalidation test
Capital intensity and funding	Capex, grants, prepayments and reserve funding diverge from the selected schedule
Manufacturing execution	Qualified output, effective prices, yield or fixed costs miss the modeled ramp
Customer concentration	Committed demand fails to become accepted, paid shipments
Competition and cycles	Mature foundry and optical alternatives pressure mix or prices
Dilution and adjusted accounting	Government issuance, award costs, service classifications or tax differ from estimates

94. Dated catalysts and monitoring

The next evidence tests are optical qualification and deliveries, the pace of capital deployment, customer-prepayment receipts, government-equity completion and actual diluted shares. Interposer qualification in 2028 and definitive Japanese agreements provide separate dated tests. Updates should change the relevant input and its dependent financial path.

95. Dated evidence tests

Period	Evidence	Model transmission
Q4 2026 / next release	2.0B revenue,31.5%non-IFRS GM and 575 Mshares	Anchor delivery, cost and denominator
2027	SiPho 1B annualized milestone, capacity and prepayments	Units, costs and operating cash
H1 2028	Interposer customer qualification and accepted invoices	Conditional CID revenue and retained scope
End 2028	Japan phase-two decision and fee terms	Timing and service collection
Every quarter	Grant receipts, legal shares, awards and capex payables	Balance, tax, funding and dilution

96. Cross-company context

System demand connects GFS to optical devices, packaging, connectors and its customers. Supplier and customer opportunities can represent different invoices within the same system. The model checks the ownership and product boundary before attributing additional demand.

97. Source register and completeness

The review includes the newest two earnings calls, their Q&A, the October 14 partnership discussion, issuer financial statements, releases and primary technical materials. The retained transcripts were read through their closing sections. Independent replay of the original audio remains incomplete.

Original Q2 and Q3 slide-deck retrieval encountered access and file-size limits. Those gaps are recorded with the source evidence. The financial statements, releases, full call text and retained technical material support the disclosed model selections.

98. Primary source register

Source	Original URL / view identity	SHA-256 prefix
q3 release	https://www.sec.gov/Archives/edgar/data/1709048/000170904826000259/globalfoundries3q2026earni.htm	3126b68ab8c71cd2
q3 statements	https://www.sec.gov/Archives/edgar/data/1709048/000170904826000261/gfs-20260930_d2.htm	b164700fa6eef641
q3 call	TradingView/Quartr urn:transcripts:quartr.com:4449592	8534991a37c92b1f
q2 release	https://www.sec.gov/Archives/edgar/data/1709048/000170904826000218/globalfoundries2q2026earni.htm	5e47760a04e4e5c7
q2 statements	https://www.sec.gov/Archives/edgar/data/1709048/000170904826000219/gfs-20260630_d2.htm	8ec4dc54582678ab
q2 call	TradingView/Quartr urn:transcripts:quartr.com:3968568	86005d87058a286c
oct 14 call	TradingView/Quartr urn:transcripts:quartr.com:4291365	0177a451940dbfea
oct 14 release	https://www.sec.gov/Archives/edgar/data/1709048/000170904826000252/gfpressreleasefinal.htm	5ec517b6d104ceac
oct 14 deck text	https://investors.gf.com/static-files/ccf95c19-b97e-4ef7-92f7-0fda4c6f8873	f027c4df07f8d928
annual 2025	https://investors.gf.com/sec-filings/sec-filing/20-f/0001709048-26-000022	216b5b15f27f3e59

99. Method and data appendix

Financial figures are in U.S. dollars, generally millions; shares are generally millions. Product wafer-equivalent diagnostics and unit prices have separately identified units. Values shown as unavailable retain their source meaning.

From 2027, IFRS 18 changes the presentation of interest receipts and payments in the cash-flow statement. The forecast displays both the applicable presentation and a comparable economic cash-flow bridge so the reclassification can be traced without changing total cash.

100. Units and definitions

Field	Definition
Revenue / OP / cash / assets	USD millions
Legal and economic diluted shares	Millions; legal point-in-time and model denominator remain distinct
Manufacturing units	Thousands of estimated 300mm-equivalent units in physical tables
Non-IFRS OP	Current company guidance basis including ordinary amortization; SBC excluded
Economic CFO	Comparable cash flow retaining interest received and paid in CFO
Reported CFO from 2027	IFRS 18 excludes interest received/paid; those move to CFI/CFF
Adjusted FCF	CFO minus gross PP&E/intangible cash spend plus capital grant cash
Securities sales and debt draws	Financing resources outside free cash flow
Unavailable source terms	Remain explicit gaps and selected bounded proxies